

Marketing

Chapter 5: Promotion/Communication

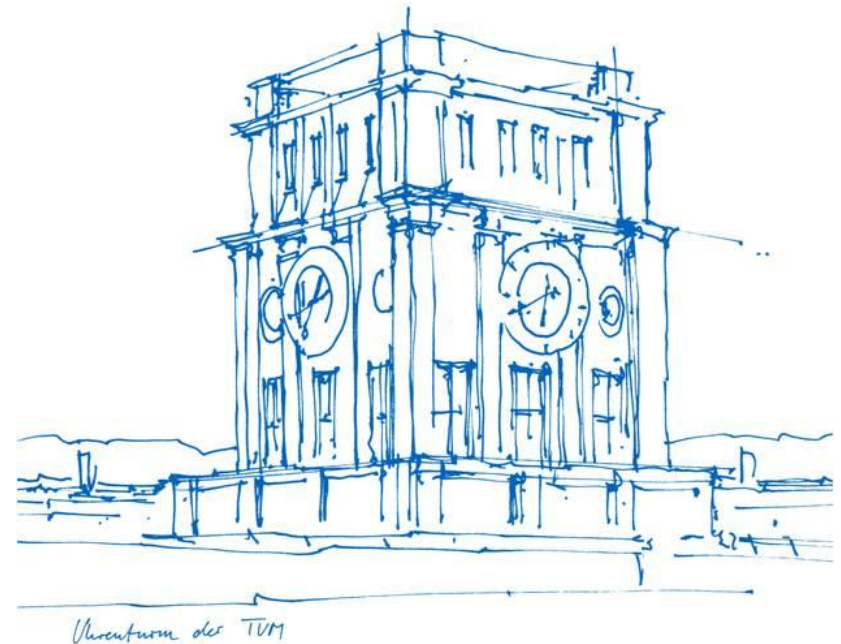
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Center for Digital Transformation

Professorship of Digital Marketing



Learning goals

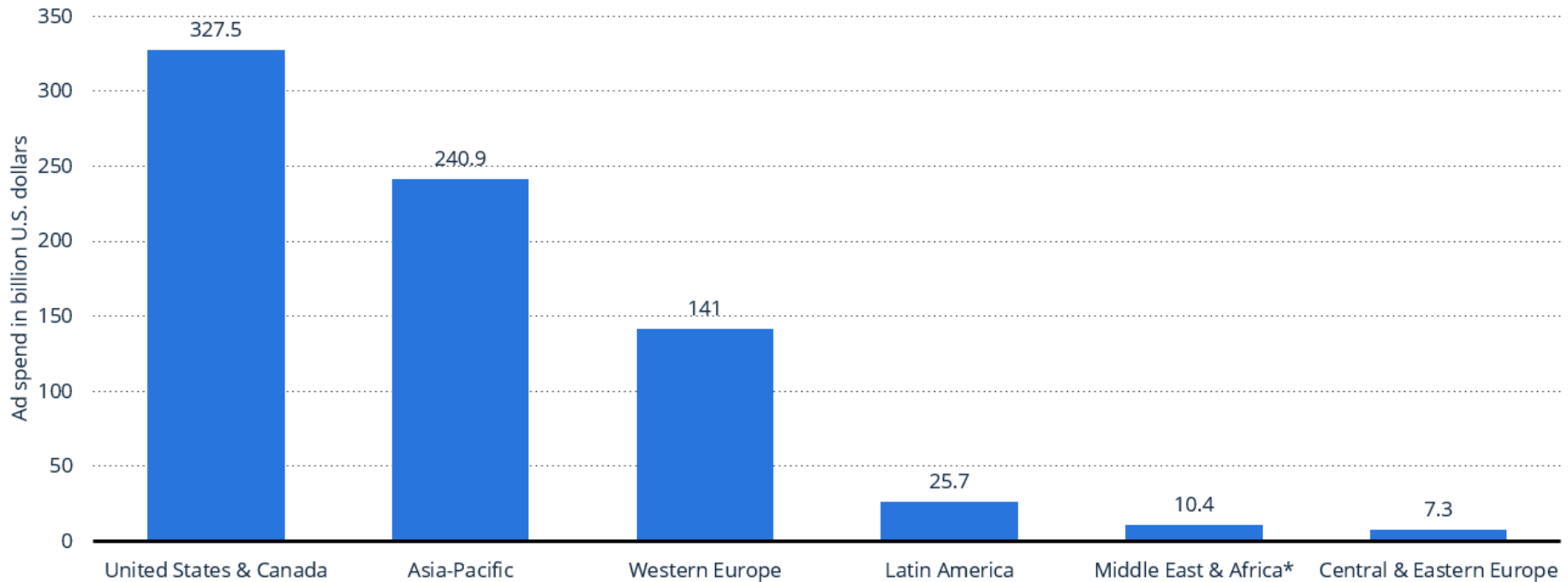
After studying this chapter, you will be able to:

- Explain the central characteristics and elements of promotional tools
- Understand integrated marketing communication
- Name strategies of marketing communication
- Evaluate different instruments of the communication mix
- Outline methods for measuring promotion effectiveness

Some background information

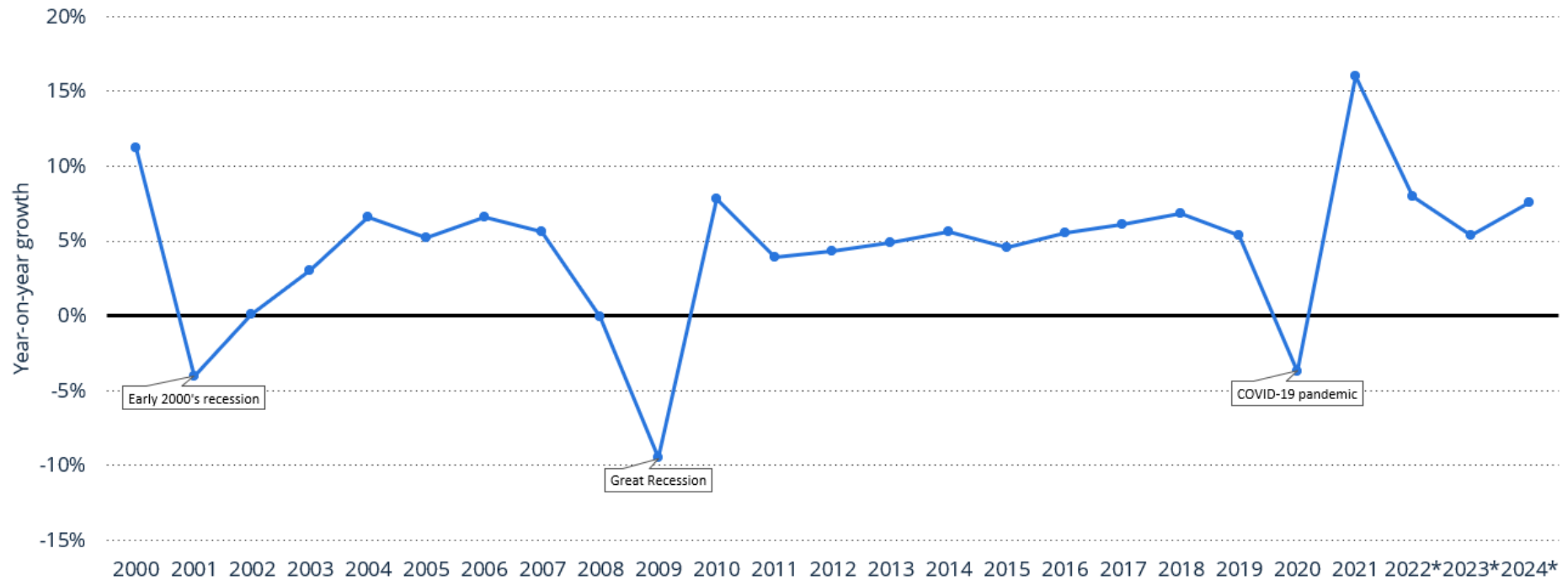
Advertising spending worldwide in 2024, by region (in billion U.S. dollars)

Advertising spending worldwide 2024, by region



Description: The source forecast that, in 2024, advertising spending in the United States and Canada alone will reach almost 328 billion U.S. dollars and account for over 40 percent of the global ad expenditure. The Asia-Pacific (APAC) region and Western Europe followed with estimated ad spends of about 241 billion and 141 billion dollars, respectively. Most world regions' ad expenditures were projected to expand between 2024 and 2026. [Read more](#)
Note(s): Worldwide; 2022; forecast; * Statista calculated the Middle East and Africa figure based on the source's data. According to the source, Argentina and Turkey figures were adjusted for inflation. [Read more](#)
Source(s): Dentsu; Statista

Growth of advertising spending worldwide

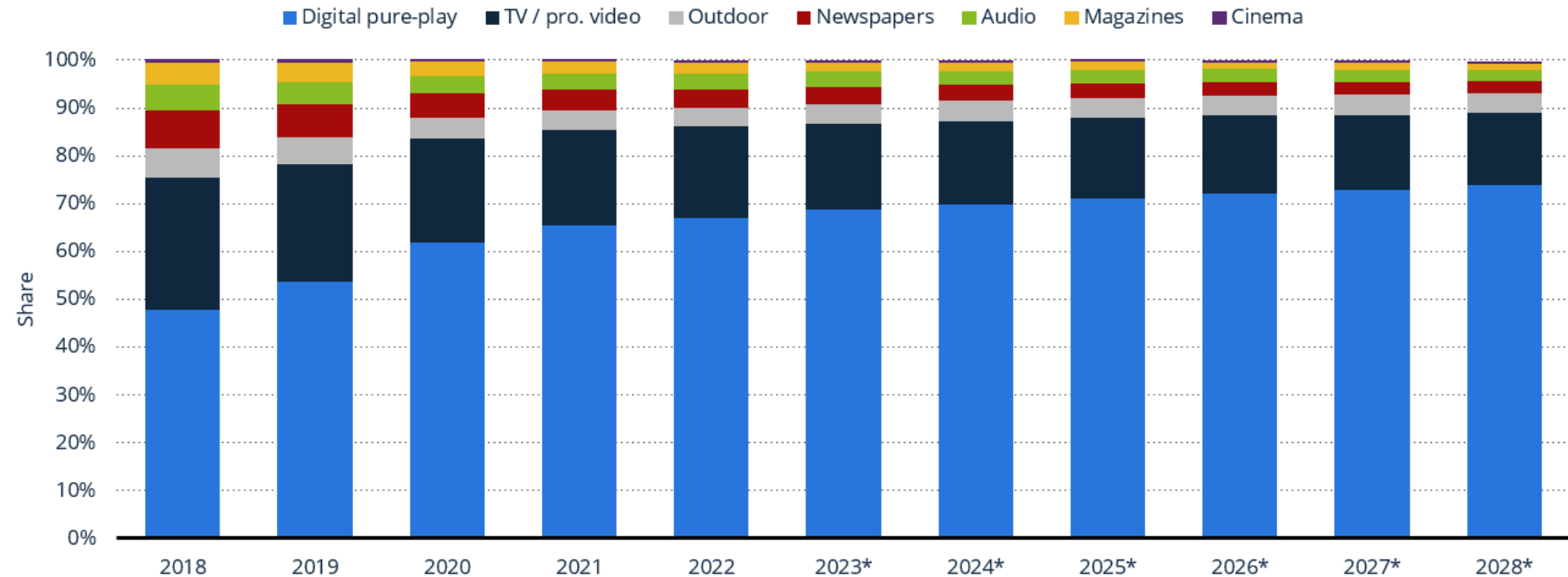


Description: The global advertising market experienced some fairly turbulent times between 2000 and 2010, seeing growth rates as high as 11.2 percent as well as lows reaching -9.5 percent during that time period. However, since 2011 the situation has stabilized, and advertising spending growth remained on average at roughly five percent. Yet 2020 brought the coronavirus outbreak and with it a high drop in ad spend of about four percent (though previous forecasts expected a nine percent [...]) [Read more](#)

Note(s): Worldwide; 2000 to 2022; current prices; * Forecast. [Read more](#)

Source(s): Zenith

Distribution of advertising spending worldwide

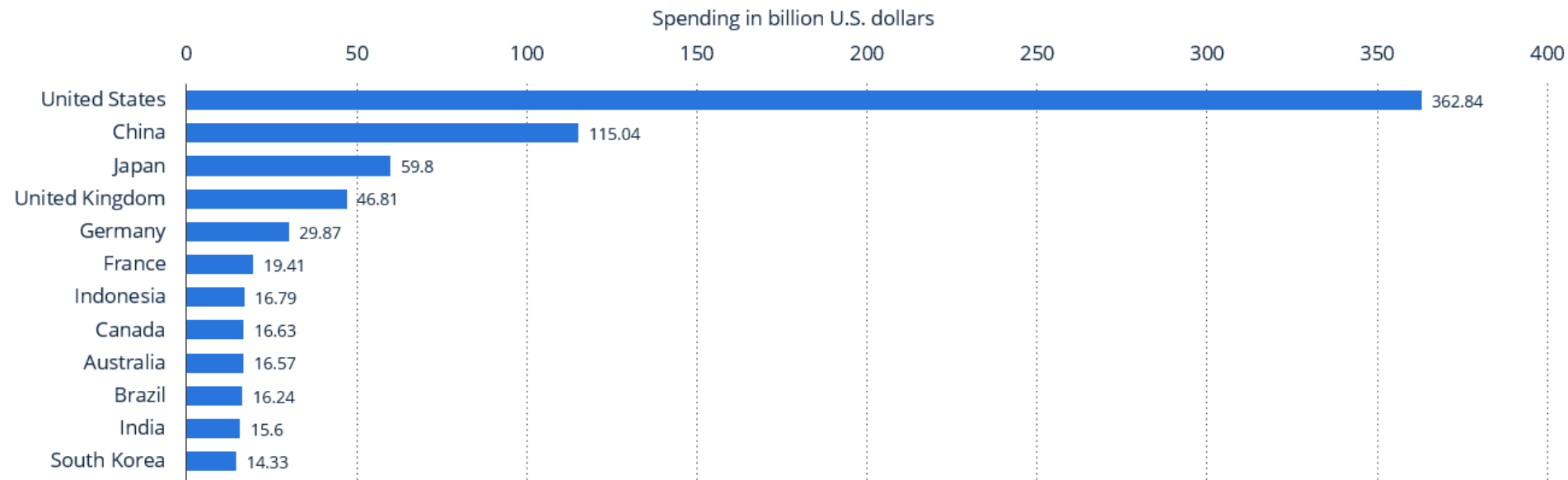


Description: The source forecast that, by 2028, the internet will account for nearly three-quarters of global advertising spending, up from less than half of it in 2018. The only traditional medium projected to see its share increase again is the out-of-home (OOH) segment, which by 2028 will still remain far from its pre-pandemic relevance, according to the source's estimates. Ad spend growth rates worldwide were expected to surpass five percent annually between 2023 and 2028. [Read more](#)

Note(s): Worldwide; 2018 to 2022, excluding U.S. political ad spend; * Forecast. Missing percentage points to 100 are probably due to rounding. [Read more](#)

Source(s): Brands Vietnam; GroupM

Advertising spending in the world's largest ad markets in 2024

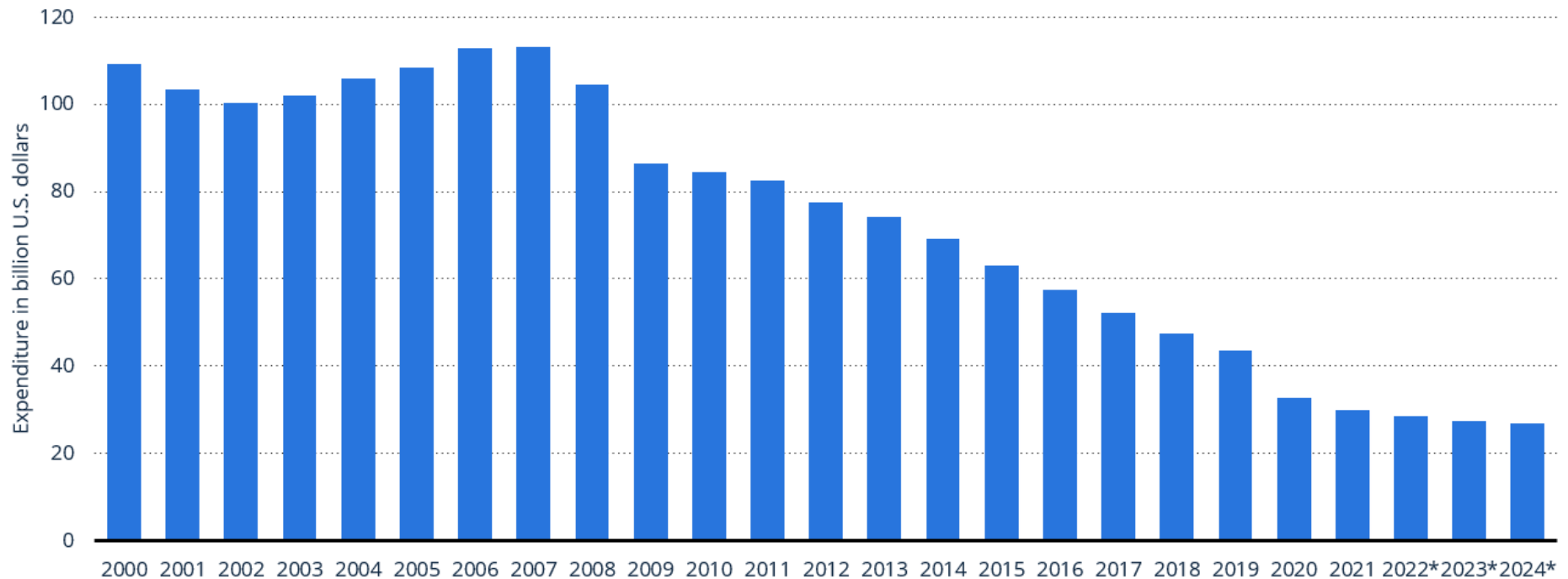


Description: It is projected that Japan will be the third largest ad market in 2024, with a total advertising expenditure of nearly 60 billion U.S. dollars. The United States will remain on the throne with ad spend amounting to about 363 billion dollars, and China will take second place that year. [Read more](#)

Note(s): Worldwide; June 2022; forecast; current prices

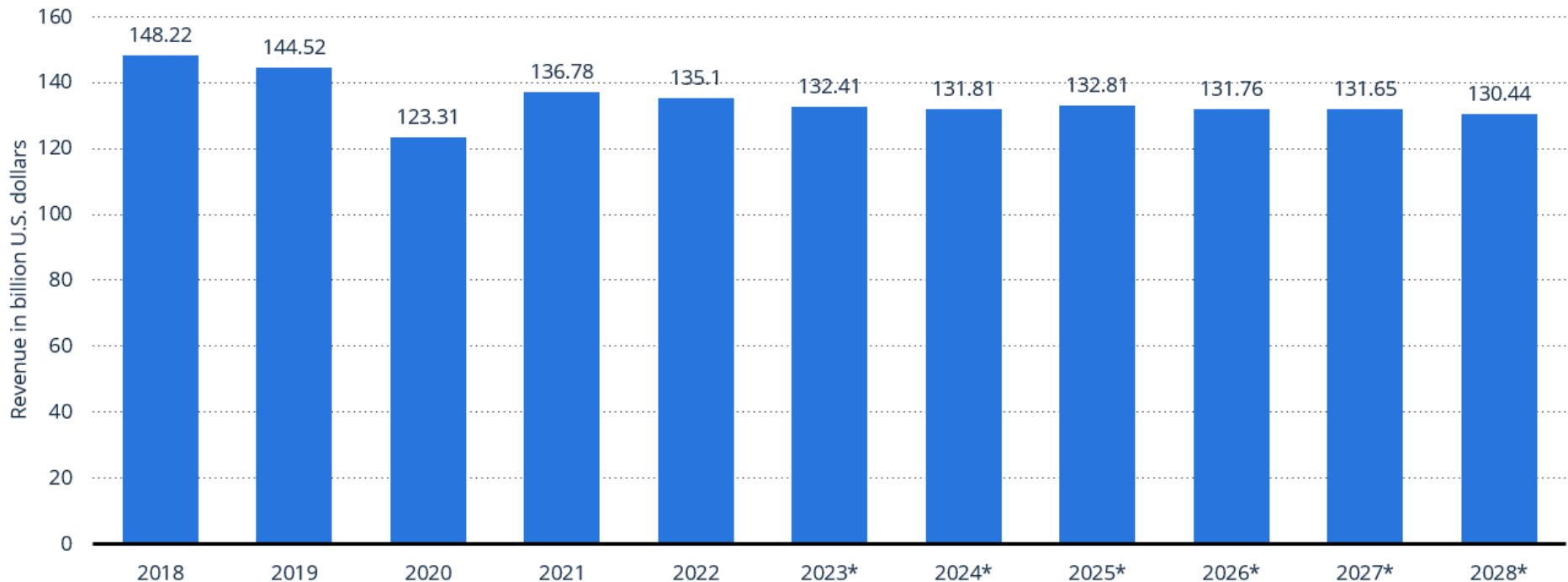
Source(s): Zenith

Newspaper advertising expenditure worldwide from 2000 to 2024 (in billion U.S. dollars)



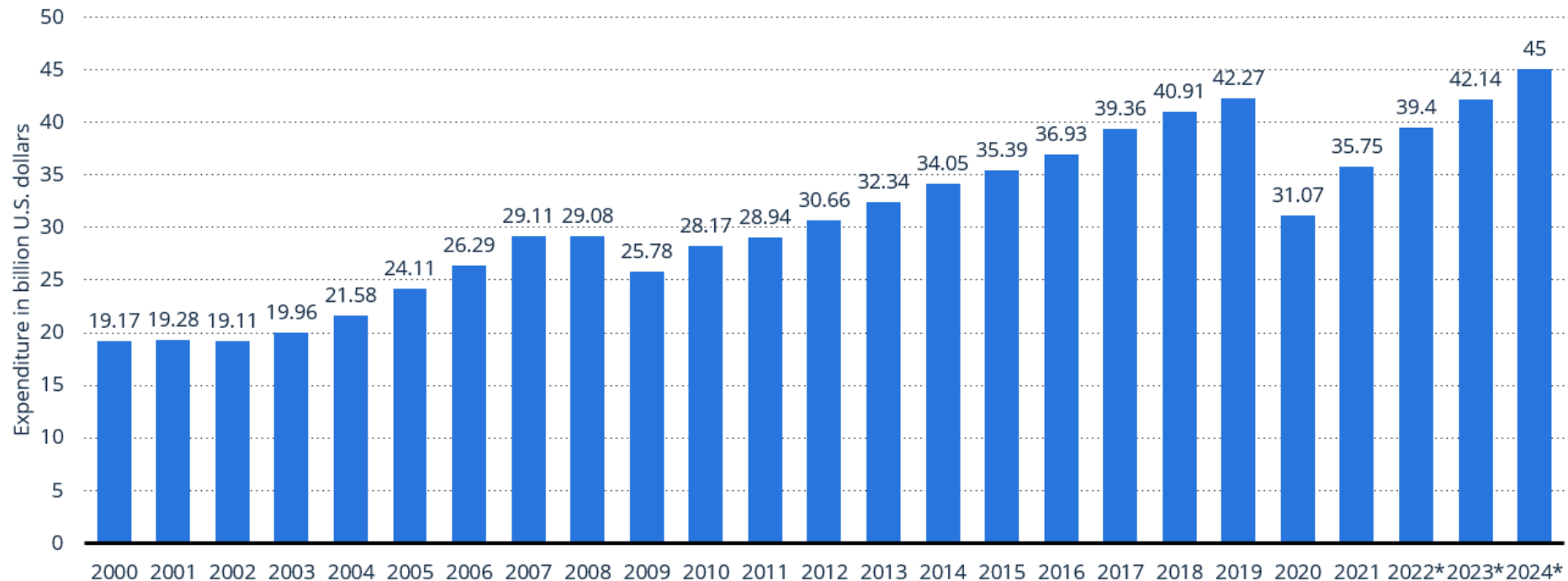
Description: It was calculated that newspaper advertising spending worldwide is forecast to reach around 28.3 billion U.S. dollars in 2022. According to industry forecasts, this figure has been declining since 2007, when it amounted to 113 billion dollars, and it is projected to drop further to 26.6 billion dollars by 2024. [Read more](#)
Note(s): Worldwide; 2000 to 2022; current prices; * Forecast. [Read more](#)
Source(s): Zenith

Global television advertising revenue from 2018 to 2028 (in billion U.S. dollars)



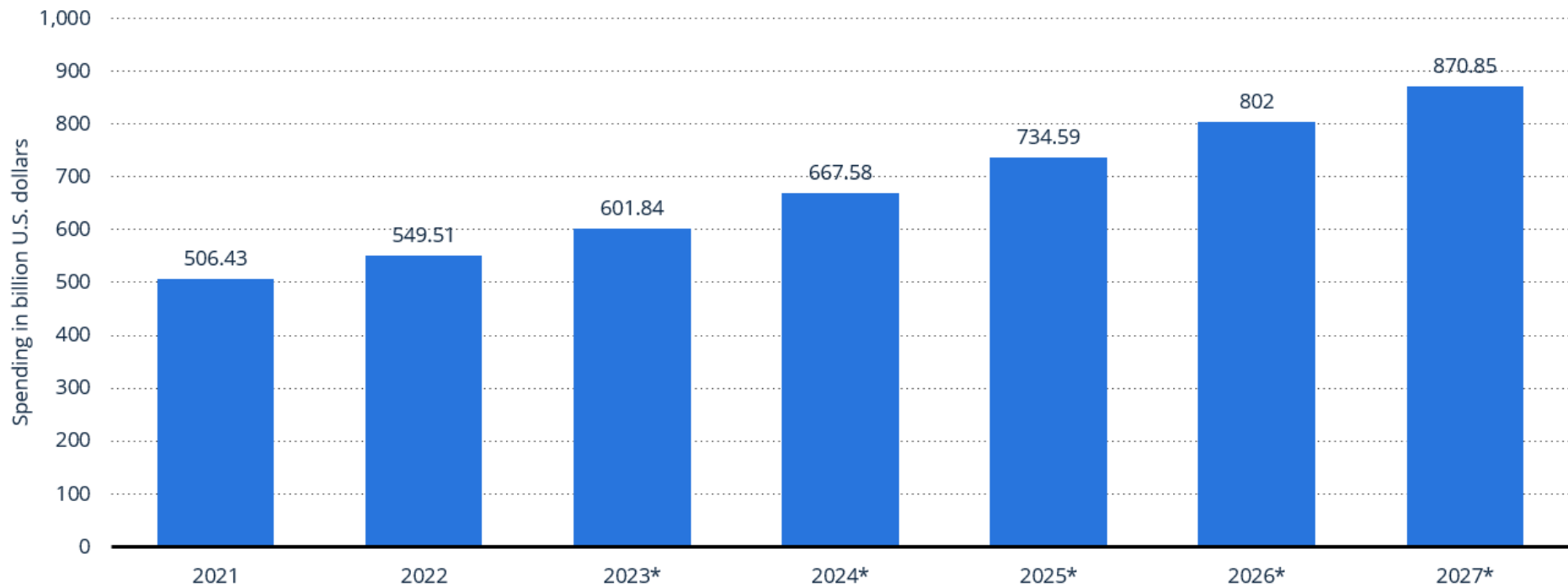
Description: The source forecast that, in 2023, TV advertising revenue worldwide will amount to approximately 132.4 billion U.S. dollars, down from 135.1 billion dollars in 2022. The figure was projected to slightly fluctuate in the next years. [Read more](#)
Note(s): Worldwide; 2018 to 2022; traditional TV; * Forecast. Numbers have been rounded. [Read more](#)
Source(s): Brands Vietnam; GroupM

Outdoor advertising expenditure worldwide from 2000 to 2024 (in billion U.S. dollars)



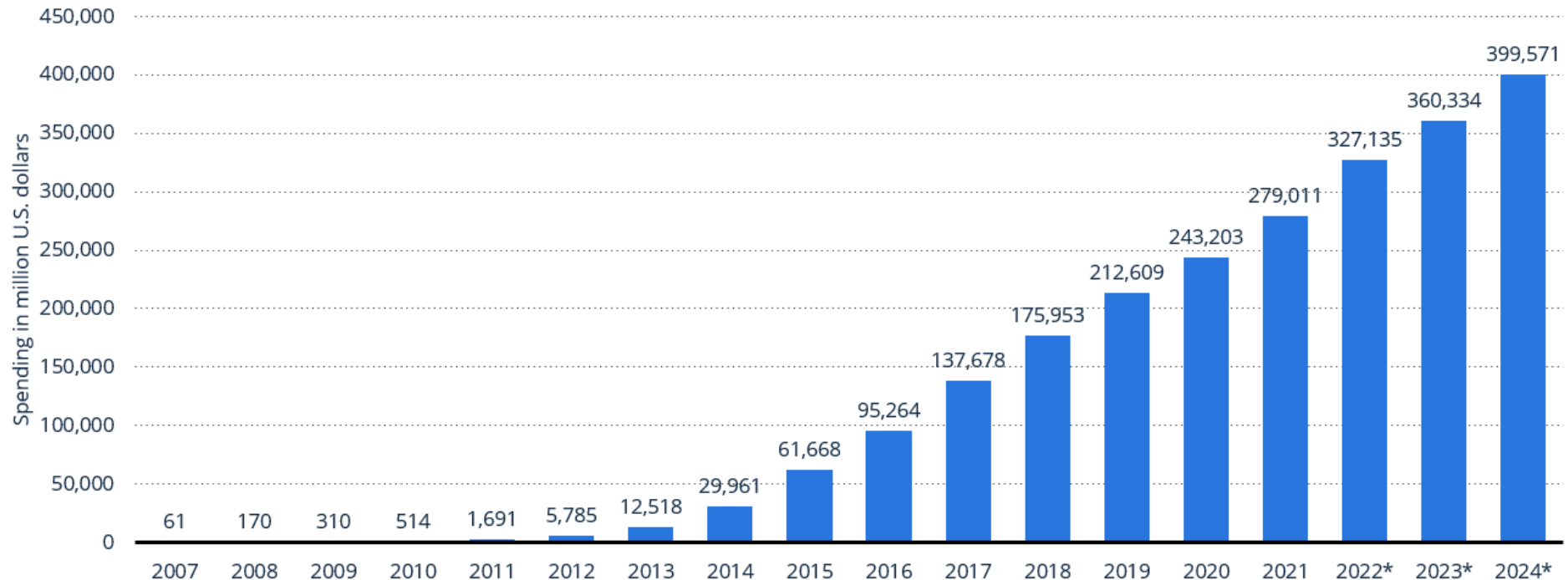
Description: Out-of-home advertising spending is projected reach over 39 billion U.S. dollars worldwide by the end of 2022. Nevertheless, this showed a rebound from the drop in the previous year caused by the outbreak of the coronavirus pandemic. However, this figure is forecast to continue increasing in the following years, with global expenditures projected to amount to 45 billion U.S. dollars by the end of 2024. [Read more](#)
Note(s): Worldwide; 2000 to 2022; current prices; * Forecast. [Read more](#)
Source(s): Zenith

Digital advertising spending worldwide from 2021 to 2027 (in billion U.S. dollars)



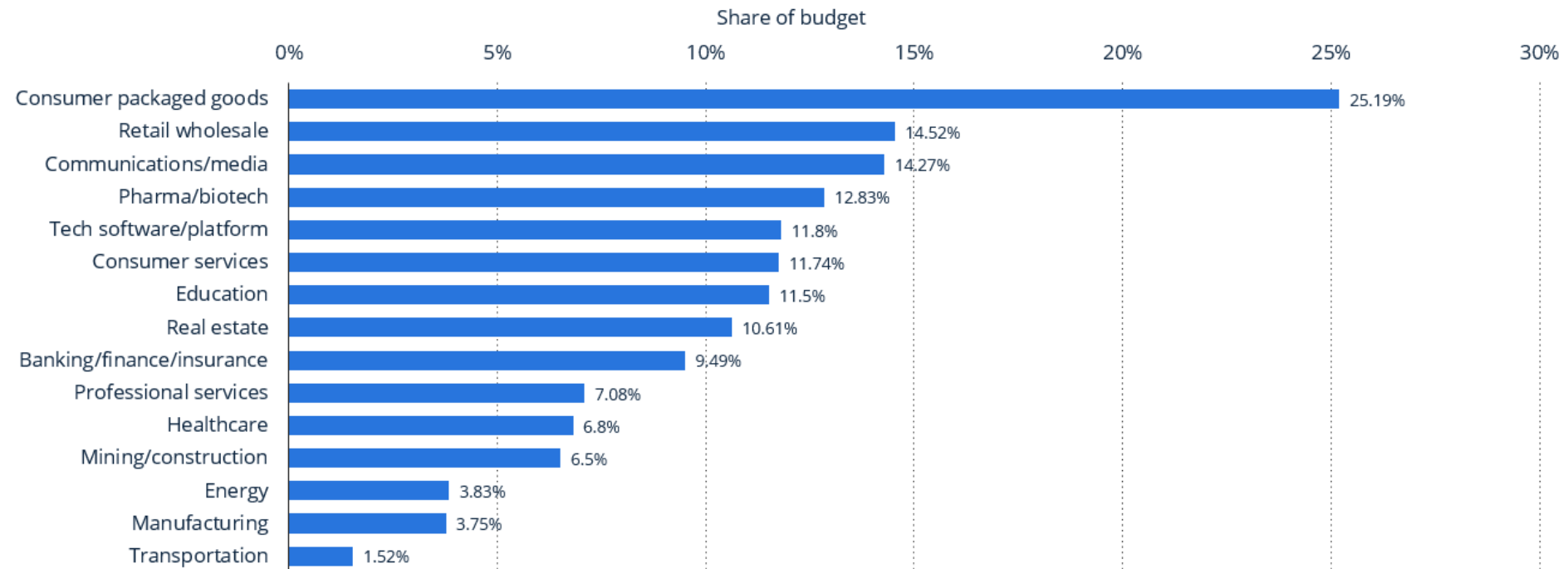
Description: It was calculated that the digital advertising spending worldwide amounted to 549.51 billion U.S. dollars in 2022. The source projected that by 2027, the spending would reach 870.85 billion dollars. [Read more](#)
Note(s): Worldwide; 2021 and 2022; includes advertising that appears on desktop and laptop computers as well as mobile phones and tablets and other internet-connected devices, and includes all the various formats of advertising on those [...] [Read more](#)
Source(s): eMarketer

Mobile advertising spending worldwide from 2007 to 2024 (in million U.S. dollars)



Description: In 2022, mobile advertising spending is projected to reach a record of 327.1 billion U.S. dollars worldwide. This figure marked an increase of 17.2 percent compared to the previous year, and according to the latest data, spending will amount to nearly 399.6 billion by 2024. [Read more](#)
Notes(s): Worldwide; 2007 to 2022; current prices; * Forecast. [Read more](#)
Source(s): Zenith

Marketing expenses as a percentage of companies' overall budgets according to CMOs in the United States as of August 2023, by industry

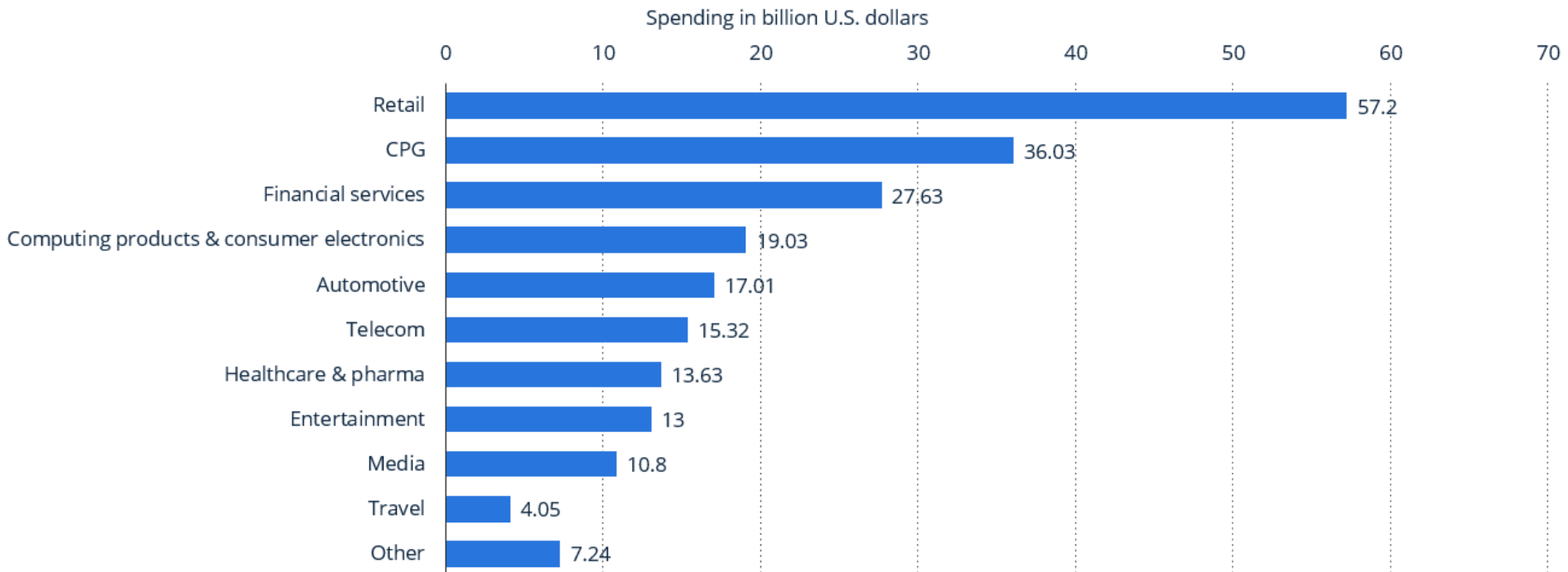


Description: During a survey among chief marketing officers (CMOs) from for-profit companies in the United States concluded in August 2023, they reported that, on average, corporations selling consumer packaged goods (CPG) allocated over one-quarter of their total budgets to marketing expenses. The retail wholesale and the communications and media segments followed, with shares of about 14.5 and 14.3 percent, respectively. [Read more](#)

Note(s): United States; July 26 to August 17, 2023; 316 respondents; among marketers from for-profit companies

Source(s): American Marketing Association; Deloitte; Duke University; The CMO Survey

Digital advertising spending in the United States in 2022, by industry (in billion U.S. dollars)



Description: In 2022, retail was forecast to be the industry with highest digital advertising spending in the United States. Its digital ad spend was projected to amount to 57.2 billion U.S. dollars. Consumer packaged goods (CPG) services ranked second, with a spend of 36.03 billion. Total digital ad expenditure in the U.S. in 2022 was expected to amount to 220.93 billion U.S. dollars. [Read more](#)
Note(s): United States; June 2021; forecast
Source(s): eMarketer

Terminology

Communication (definition)

“transactional process between two or more parties whereby meaning is exchanged through the intentional use of symbols” (Blythe, 2001, p. 170)

Multidimensionality of communication

who (sender) says **what** (information) under **which circumstances** (situational variables) through **which channels** (medium) in **what kind of way** (design of the message) to **whom** (receiver) with **which result** (effect)?

Communication policy (definition)

all of a firm's communication instruments and measures used to present the company and its services to relevant target audiences and/or to interact with the company's stakeholders (Bruhn 2016, S. 199)

Terminology

Communication policy involves the following measures

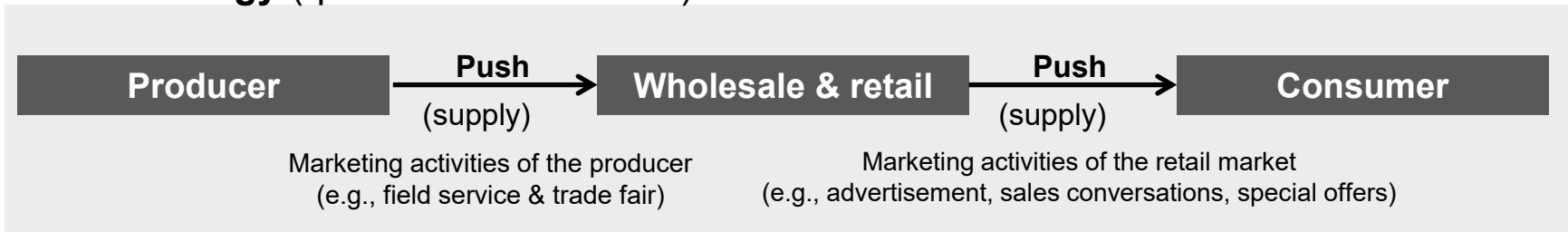
- Market-focused, external communication (e.g., print advertisement)
- Internal, in-house communication (e.g., employee newsletter)
- Interactive communication between employees and customers (e.g., customer service)

Promotional mix involves the following components

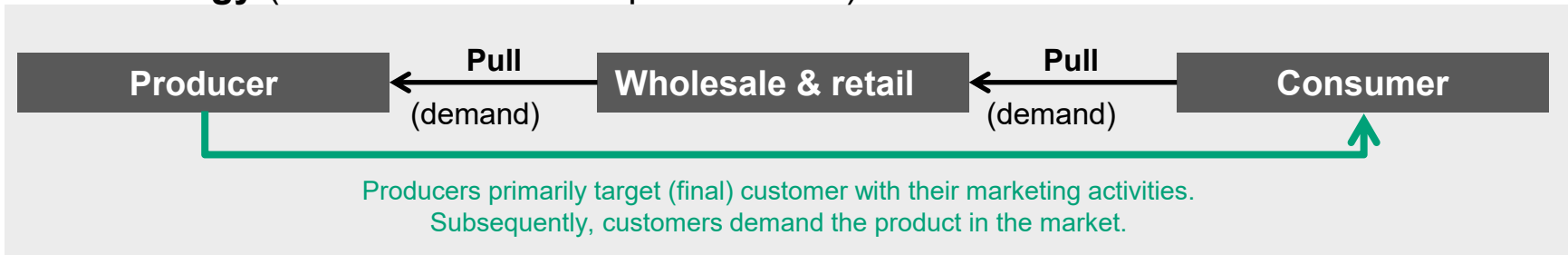
- Advertising
- Sales promotion
- Personal selling
- Public relations (PR)

Push vs. pull strategies for communication

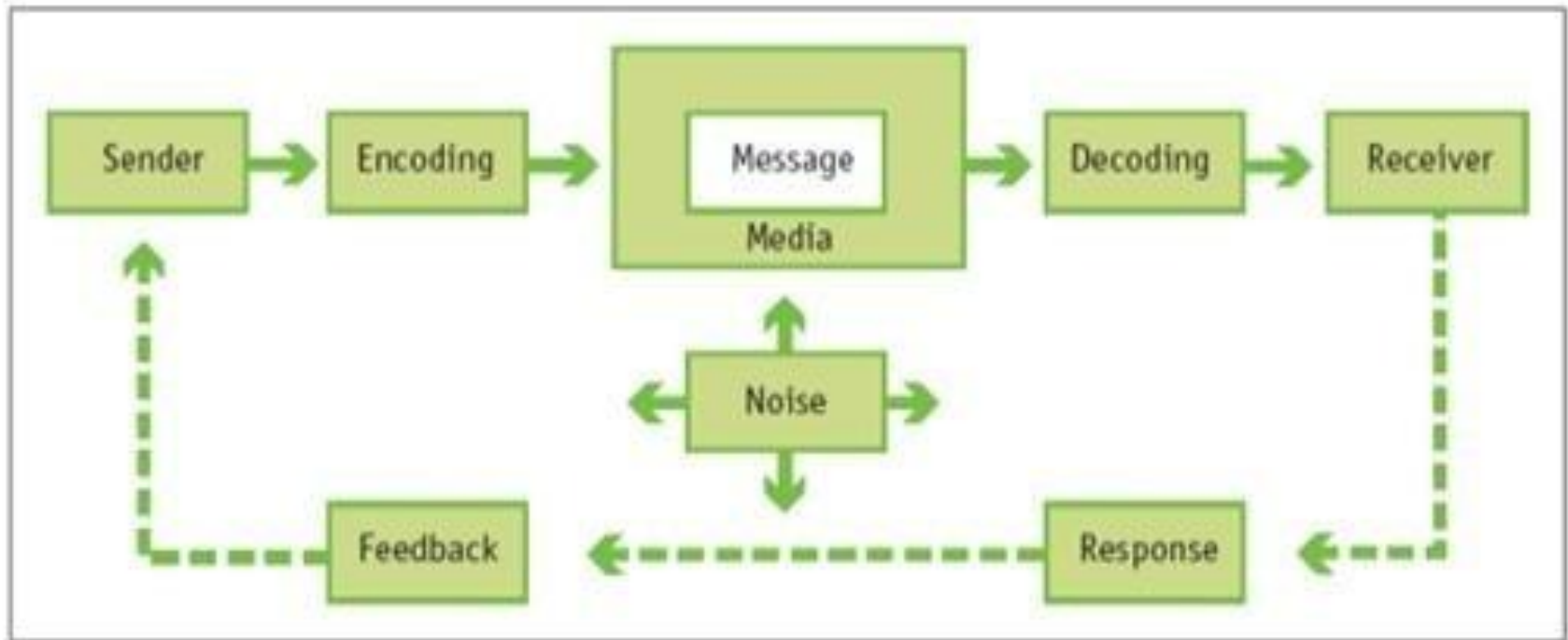
Push strategy ("push into the market")



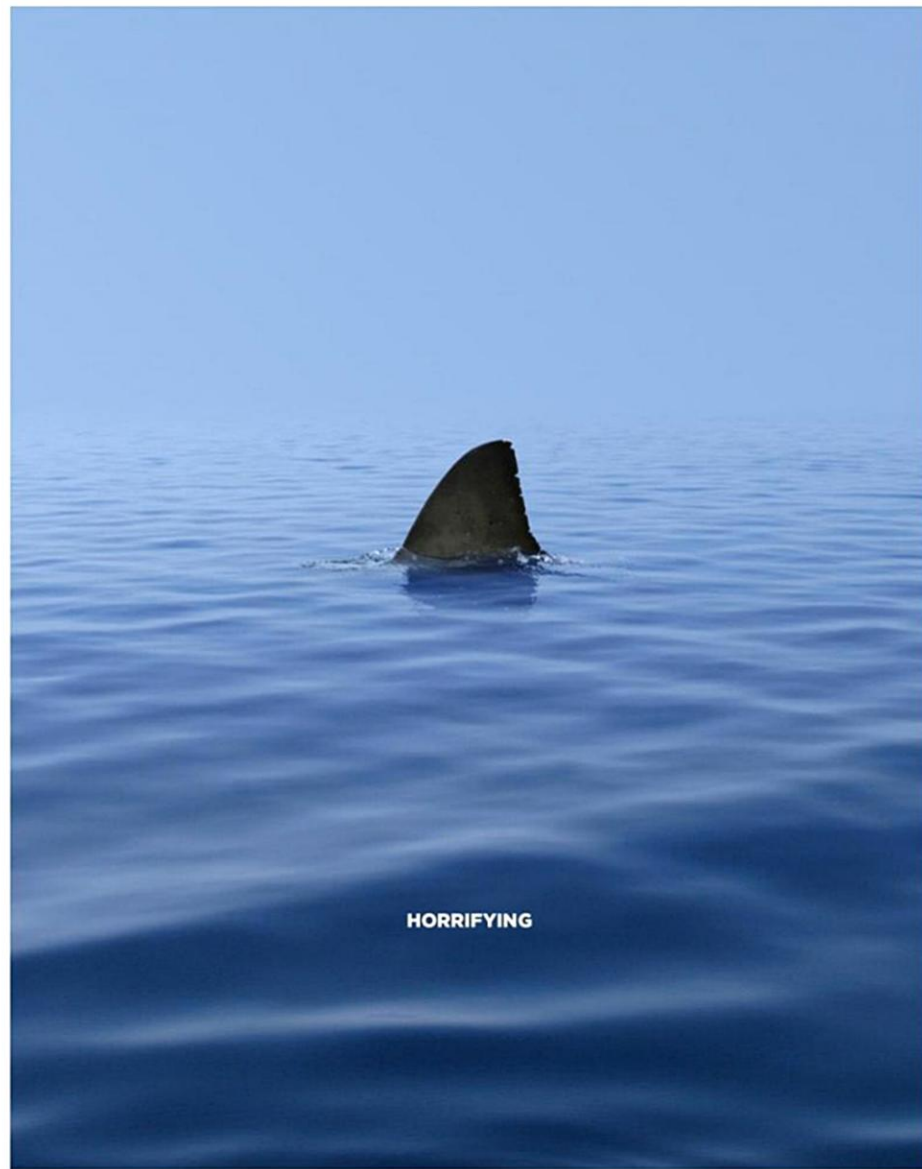
Pull strategy ("awaken needs and preferences")



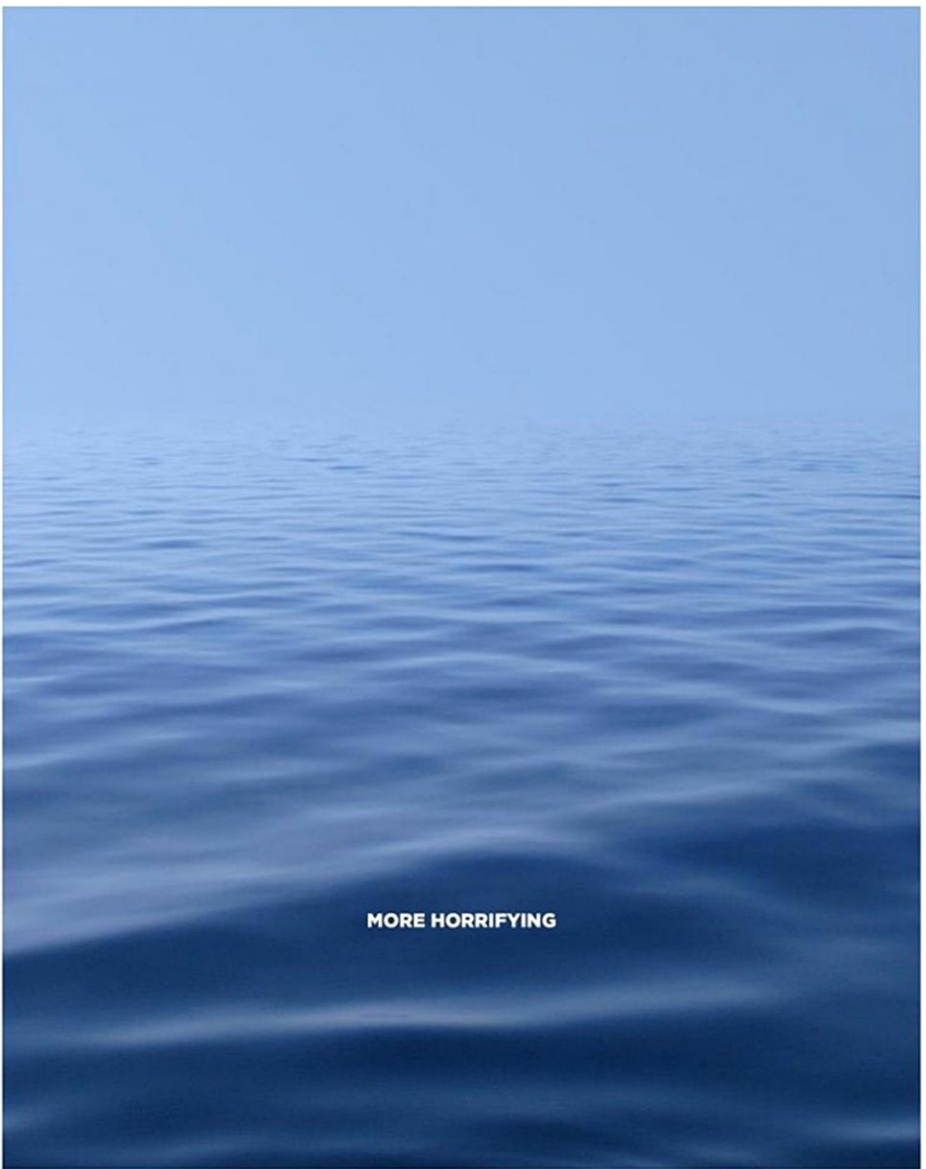
Communication models



Decker et al. 2015; Kotler et al. 2016; Jobber & Ellis-Chadwick, 2019



HORRIFYING

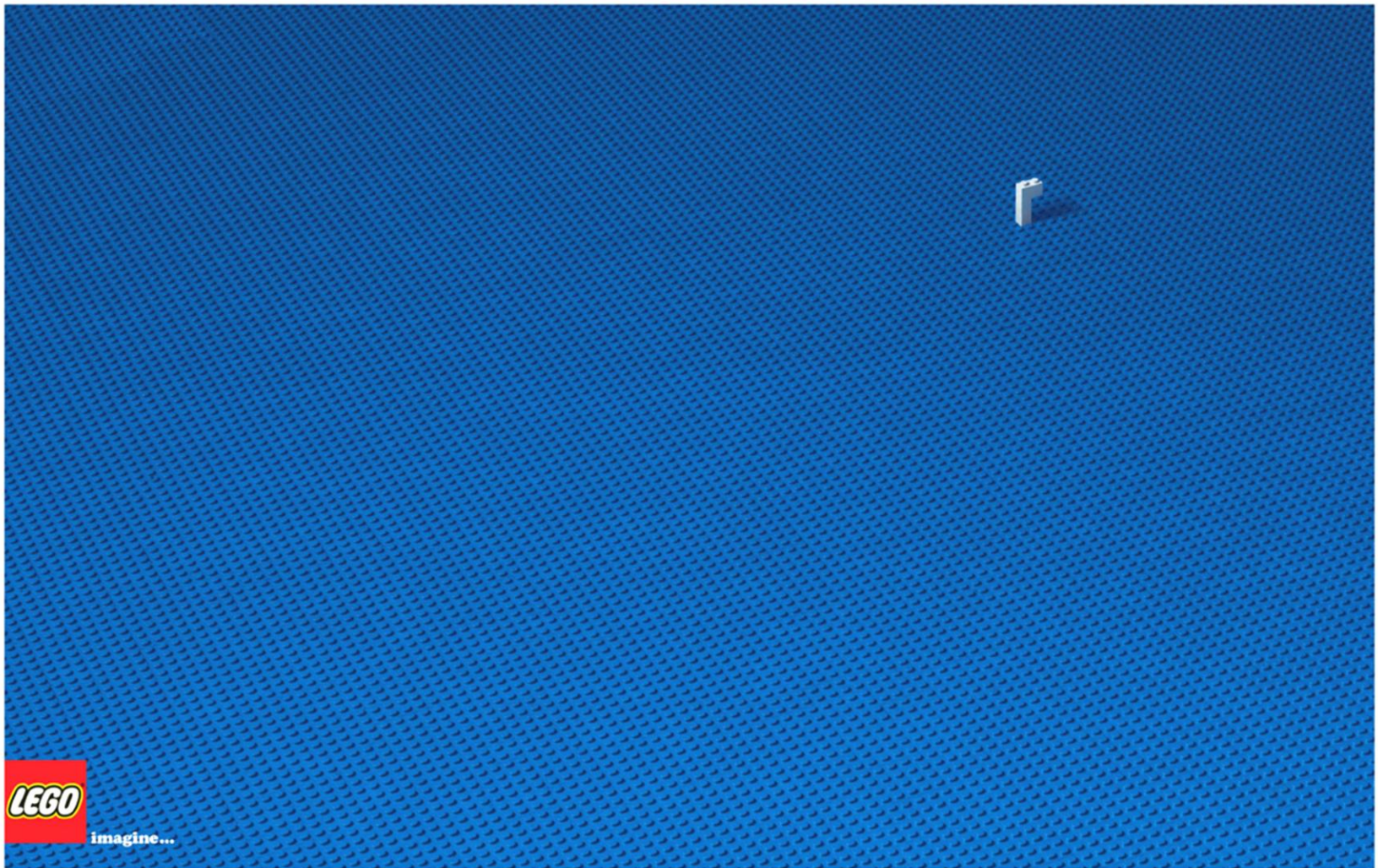


MORE HORRIFYING

EXPLOITING THE ECOSYSTEM ALSO THREATENS HUMAN LIVES.



FOR A LIVING PLANET: [WWF.ORG](https://www.wwf.org)



Planning your communication

Advertising effectiveness

Immediate effects

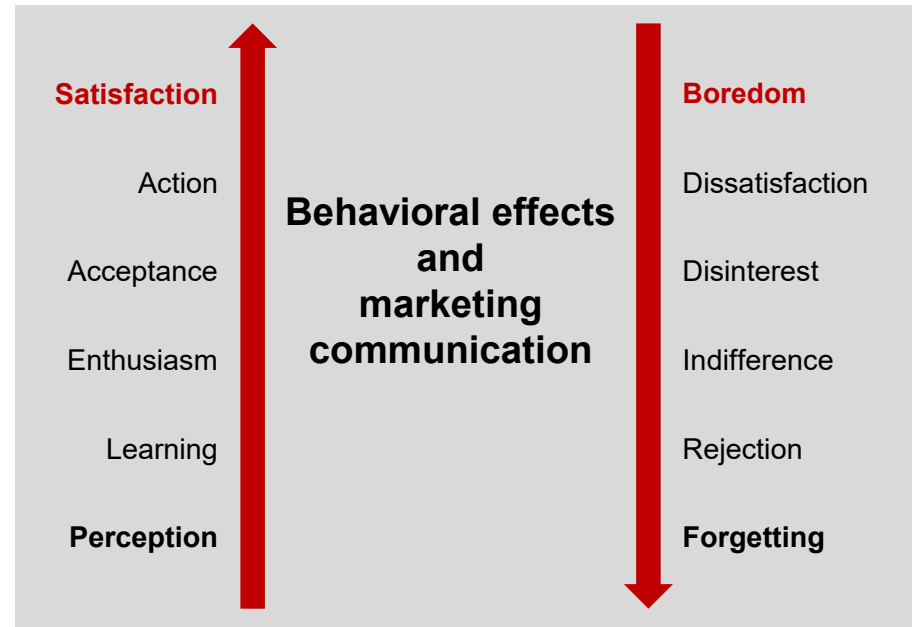
Reactions of the recipients that are directly related to the advertising contact

Sustained memory effects

Refer to the internal, unobservable behavior of recipients and are the result of communicative influence

Long-term behavioral effects

Long-term, observable effect resulting from the advertising contact



AIDA approach

- | | |
|----------|-----------|
| 1. step: | Attention |
| 2. step: | Interest |
| 3. step: | Desire |
| 4. step: | Action |

Which factors influence advertising effectiveness?

https://www.youtube.com/watch?v=hck3cXzg4_M



Which factors influence advertising effectiveness?

In saturated markets, there is hardly any difference between products.

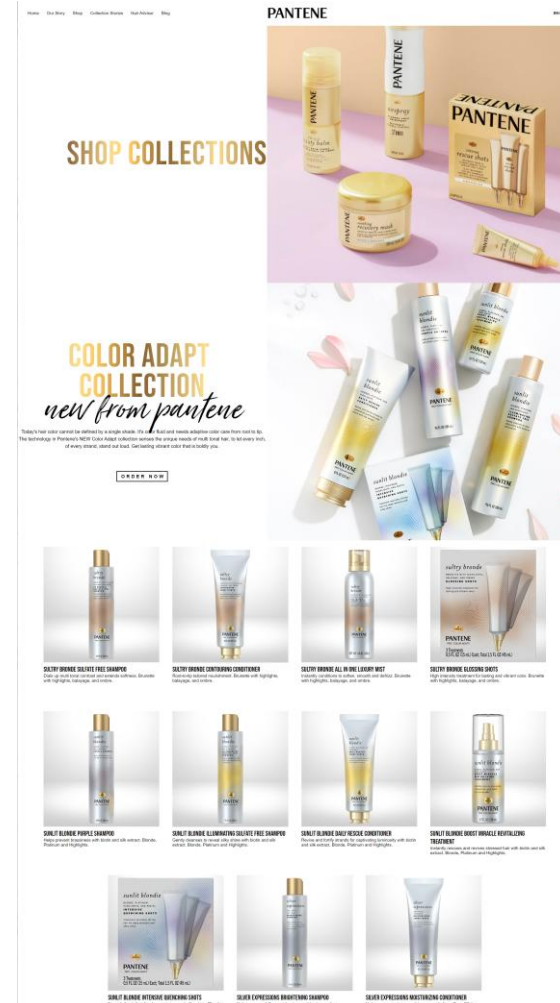
	Vergleichssieger	Preis-Leistungs-Sieger				
Abbildung*						
Modell*	Samsung WW80K6404QX/EG	Bosch WAW28570 Serie 8	Siemens IQ700 WM16W540	Siemens WM14N121 IQ300	AEG Lavamat L8FE74485	Miele WDB005WCS
Vergleichsergebnis*	AUSZEICHNUNG Unsere Bewertung SEHR GUT 05/2020	AUSZEICHNUNG Unsere Bewertung SEHR GUT 05/2020	AUSZEICHNUNG Unsere Bewertung SEHR GUT 05/2020	AUSZEICHNUNG Unsere Bewertung GUT 05/2020	AUSZEICHNUNG Unsere Bewertung GUT 05/2020	AUSZEICHNUNG Unsere Bewertung GUT 05/2020
Kundenwertung bei Amazon*	★★★★☆ 54 Bewertungen	★★★★☆ 190 Bewertungen	★★★★☆ 789 Bewertungen	★★★★☆ 217 Bewertungen	★★★★☆ 349 Bewertungen	★★★★☆ 130 Bewertungen
Bauform	Frontlader	Frontlader	Frontlader	Frontlader	Frontlader	Frontlader
Fassungsvermögen (in kg)	8 kg	8 kg	8 kg	7 kg	8 kg	7 kg
Energieeffizienzklasse	A+++	A+++	A+++	A+++	A+++	A+++
Max. Umdrehungen	1.400 U/min	1.360 U/min	1.600 U/min	1.400 U/Min	1.351 U/min	1.400 U/Min
Anzahl Waschprogramme	15	14	20	21	11	12
Pflegeleicht-Programm	✓	✓	✓	✓	✓	✓
Feinwasch-Programm z. B. für Seide	✓	✓	✓	✓	✓	✓

→ **Informative ads often fail**

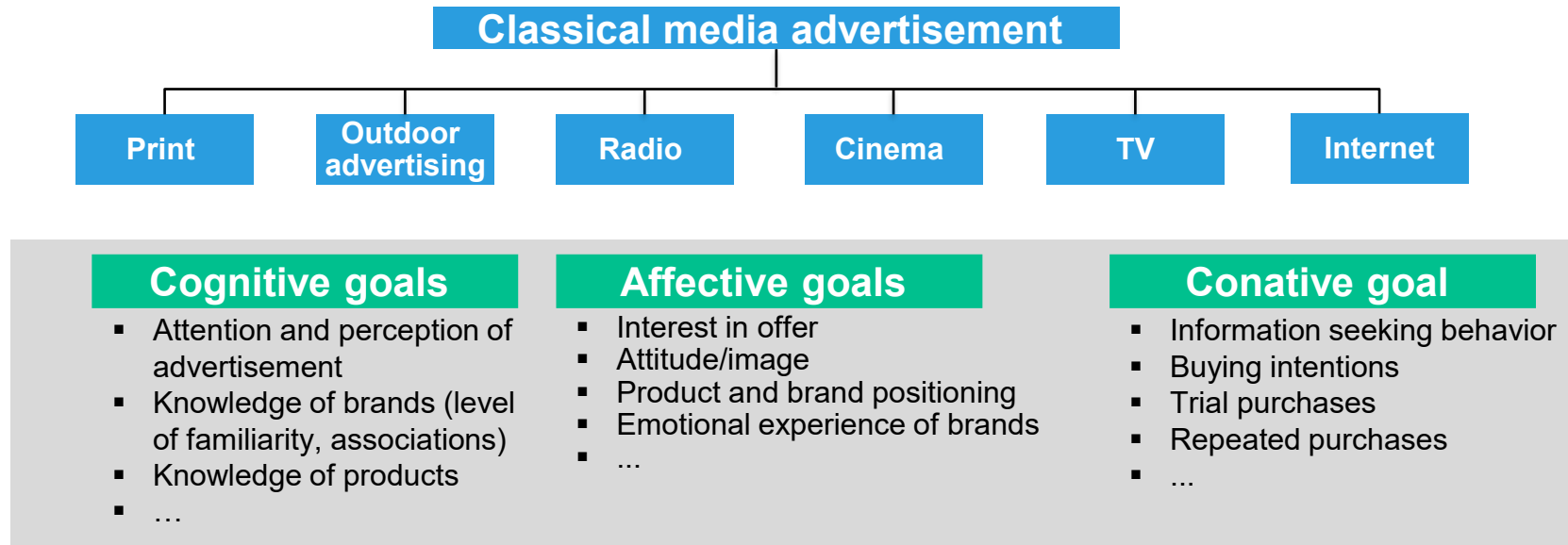
Which factors influence advertising effectiveness?

Increasing number of product variants:

- Companies offer many product variants to target different customer groups (and to account for variety-seeking)
- Markets become increasingly intransparent
➔ more information on product differences seem necessary, but...
- Example: Pantene:
19 different product lines... each product line consists of different product types (shampoo, conditioner, 2-in-1, styling products, hair treatments, etc.)

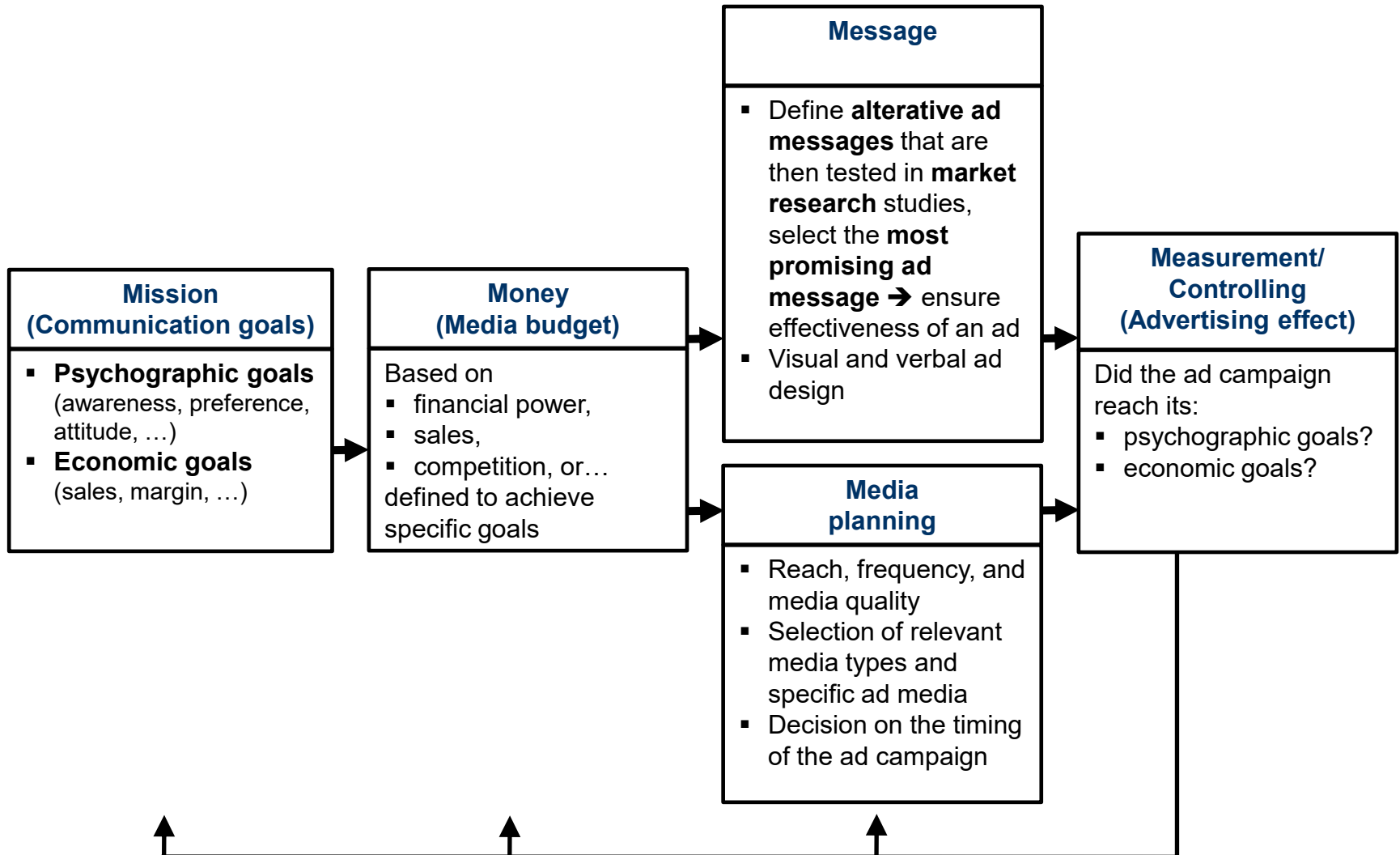


Instruments of the promotional mix



“Stopping advertising to save money is like stopping your watch to save time. “
- Henry Ford

Planning process – 5Ms of advertising



Communication goals

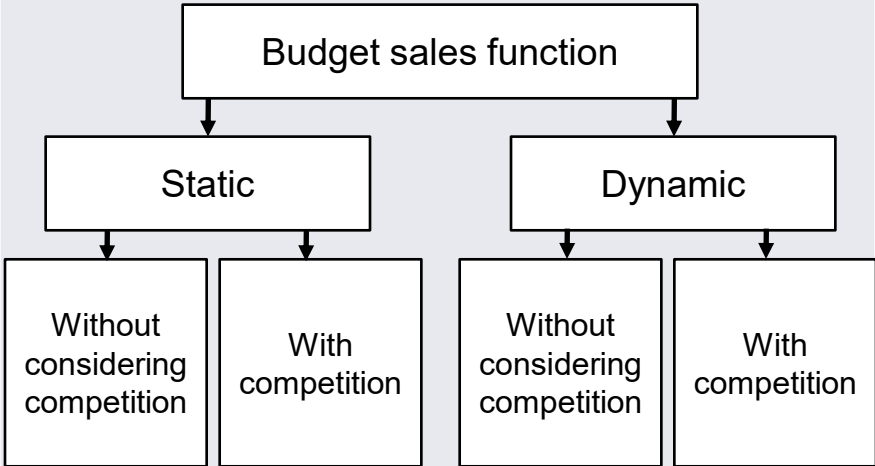
Example of a communication goal:

Our goal is to increase aided recall in our core target group of 18- to 49-year-old people in Germany from 15% to 30% within a year

Goals must be...

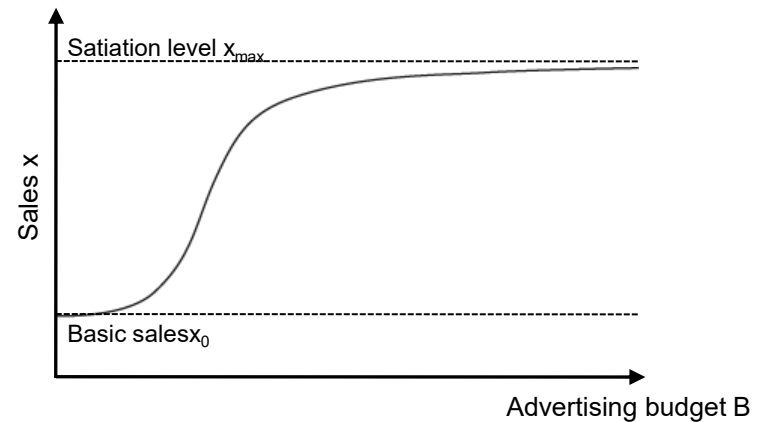
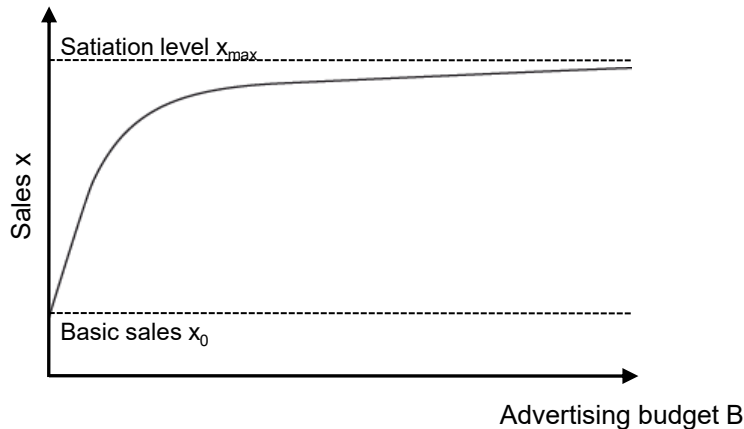
1. In line with marketing and corporate goals
2. Complete
 - What should be influenced? → **Definition of a KPI** (key performance indicator, e.g., aided recall)
 - How much should the KPI be influenced? → **Degree of KPI achievement** (e.g., 30%)
 - When should the goal be achieved? → **Planning horizon** (e.g., within a year)
 - **Scope of the goal?** (e.g., 18- to 49-year-old people Germany)

Options for defining media budgets

Based on optimization functions	Based on decision heuristics
▪ A direct relationship between budget and the KPI (e.g., sales) is assumed ▪ Mathematical description of this relationship	▪ Decisions are based on past experiences
 <pre> graph TD A[Budget sales function] --> B[Static] A --> C[Dynamic] B --> D[Without considering competition] B --> E[With competition] C --> F[Without considering competition] C --> G[With competition] </pre> The flowchart illustrates the 'Budget sales function' which branches into 'Static' and 'Dynamic' categories. Each category further branches into 'Without considering competition' and 'With competition'.	1. Heuristics based in specific measures such as ▪ % of turnover ▪ % of profits ▪ The <i>what can we afford</i> method. ▪ Based on competitor budgets 2. The <i>what do we need to achieve our goal</i> approach

Options for defining media budgets

Two examples of potential budget sales functions (static, without competition)



Advantages

☺ ability to *optimize* media budgets; carry-over effects can be modeled

Disadvantages

- ☹ relationship between budget and sales is difficult to demonstrate empirically
- ☹ models are only valid under certain assumptions and are context-specific; results are not generalizable
- ☹ relationship can only be identified ex post; predictions are often not possible; forecasts are of limited value

Options for defining media budgets – Heuristics

		 Advantages	 Disadvantages
% of turnover (value, sales, ...)	Communication budget is defined as a fixed % of previous, current, or expected sales	- Very little effort needed to define communication budgets - Easy to apply heuristics - Results can be obtained very quickly	- No justifiable reason to define media budgets - Danger of procyclical communication - Circular reasoning: turnover is influenced by the media budget, but at the same time, sales influence budget?
% of profits	Budget is defined based on previous profits		- No justifiable reason to define media budgets - Danger of procyclical communication - Profits are influenced by many other factors, not only advertising
<i>What can we afford method</i>	Company defines a minimum profit, and remaining funds can be used to invest in communication		
Based on competitor budgets	Communication budget is defined based on competitor budgets, the average industry budget, or based on common previous budgets in an industry		- No justifiable reason to define media budgets - Firms differ concerning their current market situation, their products, competencies, assets, competitive advantages, goals, etc. Merely copying competitor budgets does not consider different contexts and does not help one achieve company-specific goals

Options for defining media budgets

What do we need to achieve our goal approach

1. Define communication goals.
2. Define communication activities that are necessary to achieve the goals.
3. Estimate activity costs to define a communication budget.

Does the budget exceed a maximum value?

No



Implement communication activities

Advantages

- ☺ Easy to apply
- ☺ High managerial acceptance
- ☺ Logical relationship between budget and communication goals
- ☺ Internal and external factors can be considered
(internal factors: e.g., available budget, assets, ...
; external factors: e.g., competition, media,...)

Disadvantages

- ☹ Requires more effort (compared to other heuristics)
- ☹ Cost-benefit relationship is not assessed explicitly



Media planning

Common tasks for media planners:

1. **Selection of relevant media **types** (intermedia selection)**
(e.g., TV and internet)
2. **Selection of **specific** media channels (intramedia selection)**
(e.g., RTL)
3. **Definition of a specific ad **timing** and **frequency****

Goal: maximize the impact of the media budget

Impact:

- **Quantity** → reach (no. of people) and frequency (no. of contacts per individual)
- **Quality** → who does the ad reach? (focus on core target group)

Owned, paid, and earned media

Owned media:

websites, storefront (retail store),
packaging, customer journals, trade
shows, sales personnel, product
price,...

Paid media:

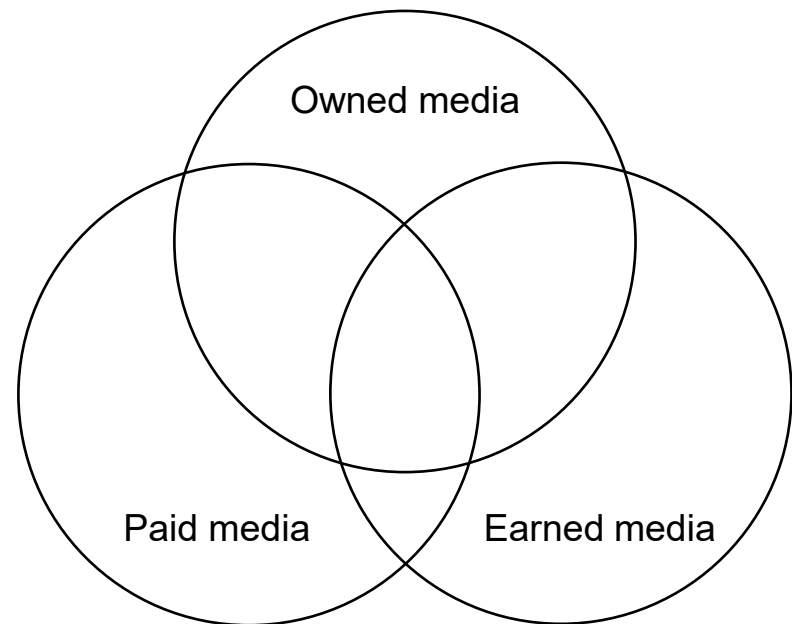
traditional & online advertising

Earned media:

Word-of-mouth (WoM, „what people
say about you when you are not in the
room“) → social media, reviews

Video

➔ Drive brand engagement



Media types – Paid media

(Media) Advertising

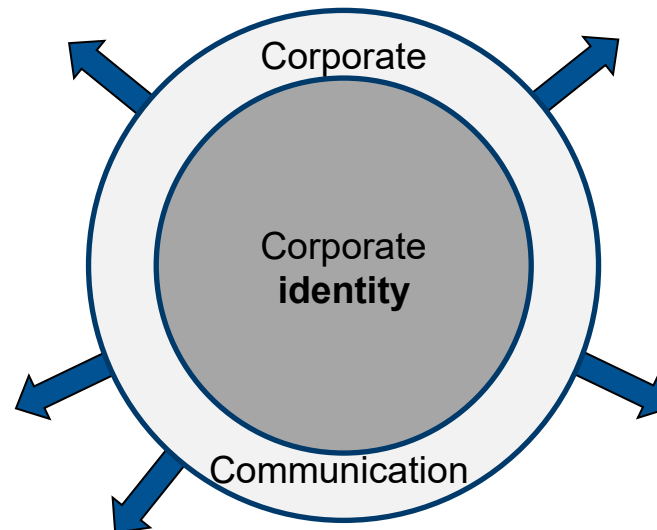
- TV
- print ads in newspapers and magazines
- outdoor ads / poster ads
- ads in cinemas
- internet ads

Direct marketing

- catalogs
- leaflets
- direct mail
- mail marketing
- internet shopping

Personal sales

- sales presentations
- trade fairs and trade presentations



Sales promotion

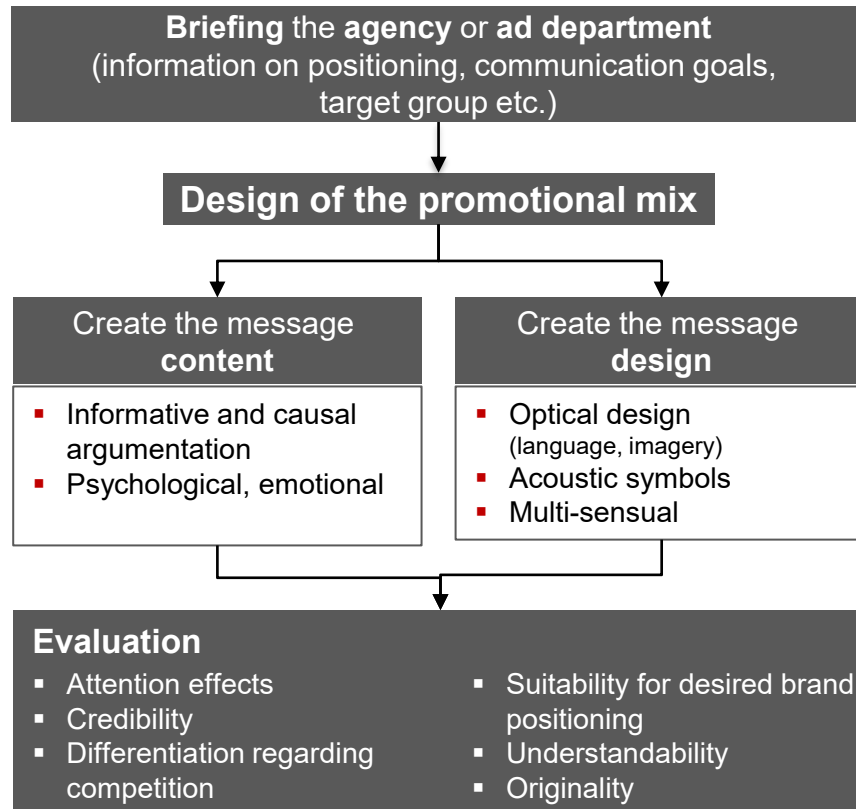
- manufacturer → customers
- manufacturer → retailers
- retailer → customers

Public relations (PR)

- press releases
- business reports / annual reports
- charity
- sponsoring
- lobbying

Kotler, Keller, and Bliemel, 2007, pp. 652ff.

Message – Designing ads



Design principles:

- Creating experience
- Using “Schlüsselbilder”
- Dominance of image communication
- Use of visual presence signals
- Time constancy of the design approach
- Integration of communication

Pieters et al. 2010; Erfgen et al. 2015; Meffert et al. 2015; Bruhn 2016

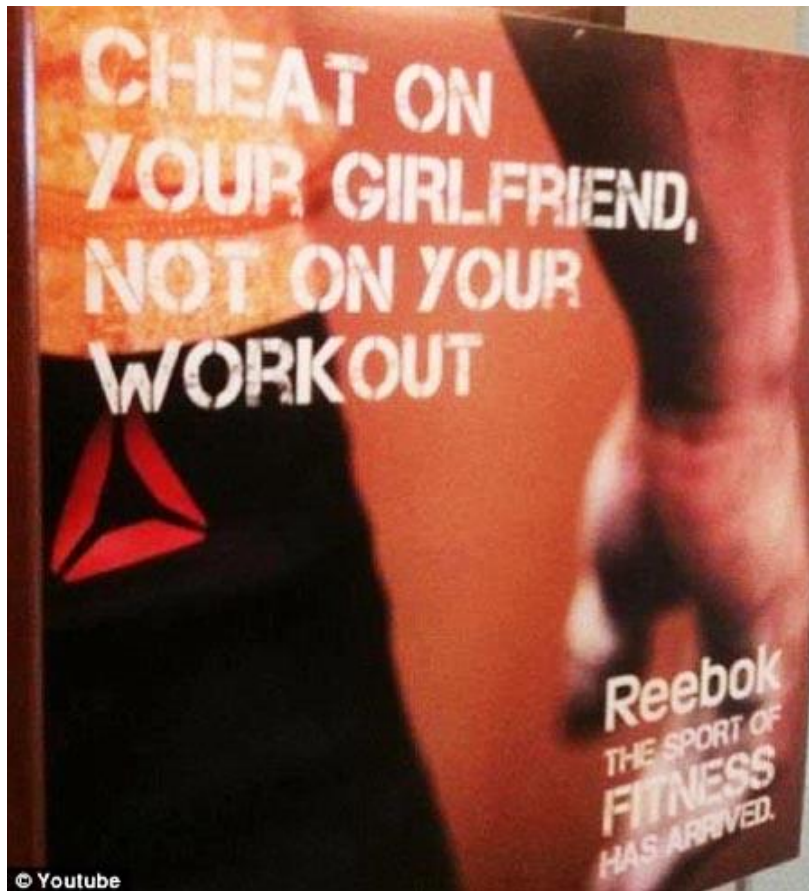
Message – Designing ads

Activation triggers

- **Emotional stimuli**
(children, landscapes, eroticism, animals, etc.)
- **Cognitive stimuli**
(surprise, size, contradiction, etc.)
- **Physical stimuli** (scent, color, sounds, etc.)
- **Economic stimuli** ("price hammer", "last minute" etc.)
- **Stimuli based on values**
(environment, future, education, etc.)



Offensive or controversial ads



Oh Mist, jetzt verstehen wir die Aufregung um unseren gestrigen Post und müssen da was zurecht rücken - das war ein Schnellschuss unseres 13-jährigen Praktikanten, der hat den falschen Bildausschnitt hochgeladen. Hoppla. Tut uns leid.

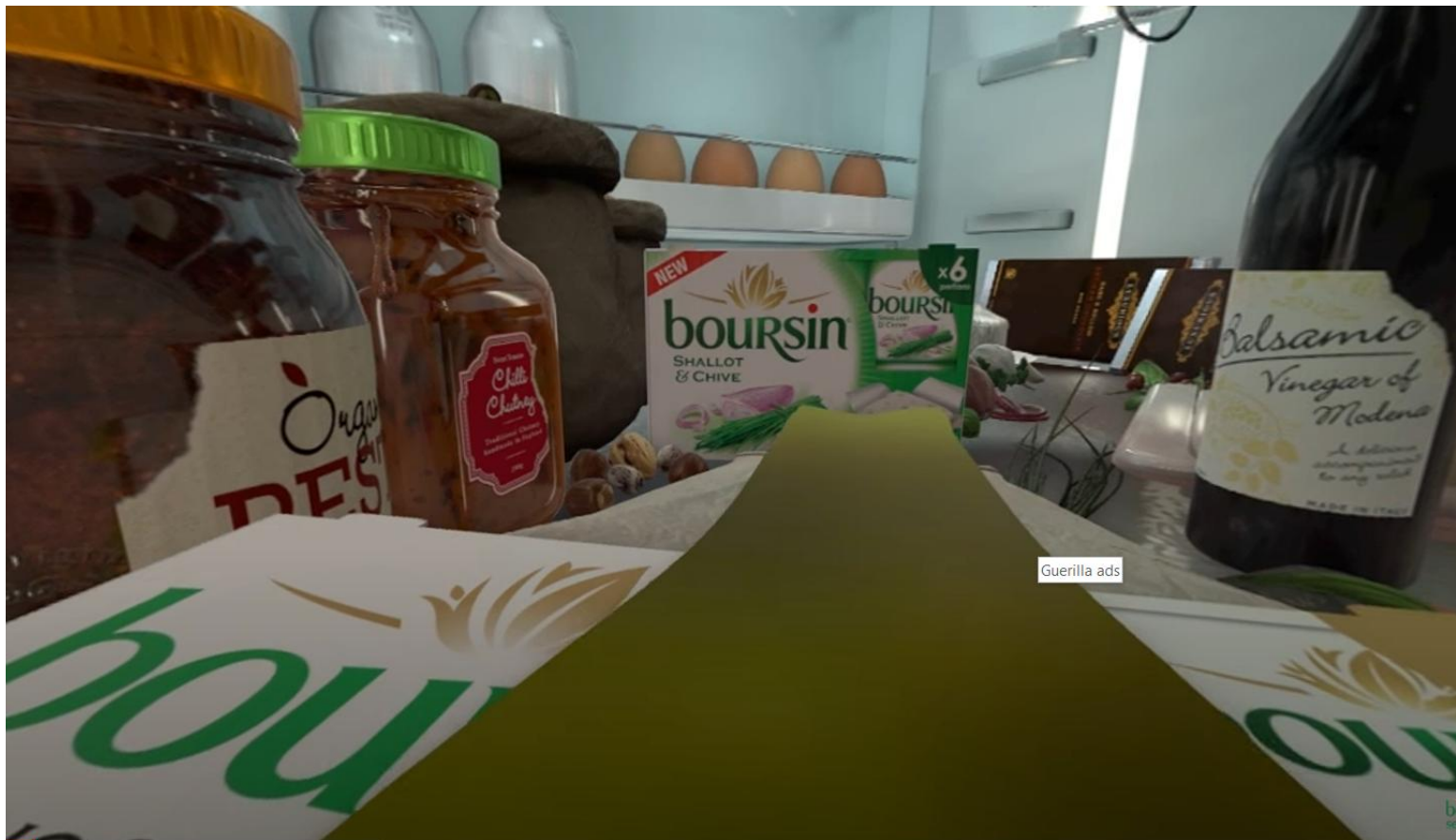


Guerilla ads



New advertising formats

Boursin® Sensorium 360 Virtual Reality Experience



New advertising formats

3D Billboards



Selection of specific media channels (intramedia selection) – Common measures

Reach:

- The total number of different people or households exposed at least once to a medium during a given period.
≠ number of people who will actually be exposed to the advertising
= number of people who have an opportunity to see or hear the ad or commercial (e.g., number of readers of a specific magazine)

Gross rating points (GRPs):

- GRPs quantify impressions as a % of the target population
- Measure impressions in relation to the number of targeted people for an advertising campaign. Since overlapping (a person that is exposed to an ad at least twice) is not considered, this percentage may thus be greater than or much greater than 100.
- GRP values are commonly used by media buyers to compare the advertising strength of a media plan's components.

Selection of specific media channels (intramedia selection) – Common measures

Cost per thousand (CPT), also known as cost per mille (CPM):

How much will it cost to reach 1,000 prospective customers?

CPT is a common method used to compare alternative advertising options such as TV, newspaper, etc.

To determine a publication's CPT, divide the cost of the advertising by the publication's readers/viewers in thousands.

$$\text{CPT} = \frac{\text{costs}}{\text{readers / viewers (in thousands)}}$$

A one-page print ad in a magazine costs €50,000. It has 10,000,000 readers.

$$\text{CPT} = \frac{50,000}{10,000,000 / 1,000} = €5 / 1,000 \text{ readers}$$

Selection of specific media channels (intramedia selection) – Common measures

	Reach (in million viewers)	CPT (in €)
RTL	0.65	25.51
ProSieben	0.48	26.15
Sat.1	0.43	26.29
ARD	0.35	48.94
ZDF	0.35	44.76
RTL 2	0.29	19.62
Vox	0.29	21.80
Kabel Eins	0.24	22.10
Super RTL	0.11	22.16

Selection of specific media channels (intramedia selection)

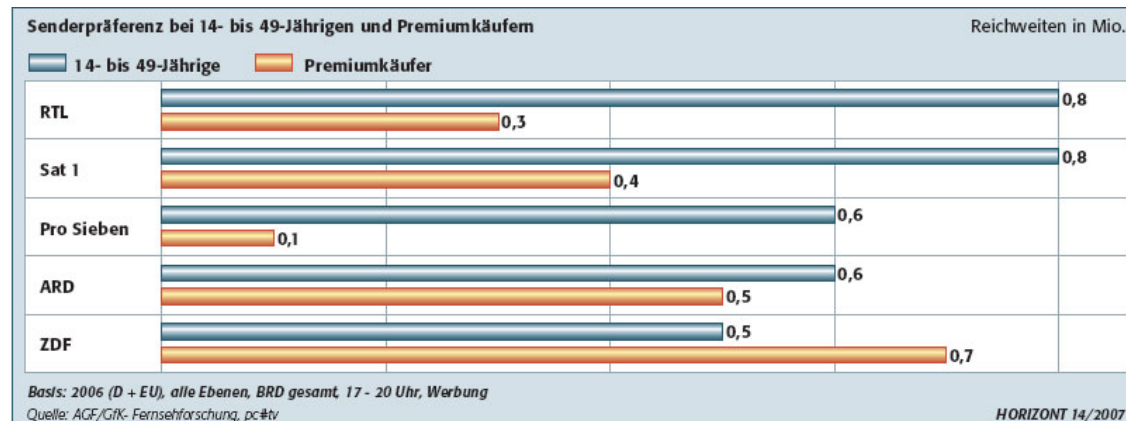
Weight CPT values with target group-specific fit values

Example:

- RTL and Sat1 have a higher reach for customers aged between 14 and 49.
- ARD and ZDF have a higher reach for premium buyers.

Weight CPT values to account for differences in a media's user group.

Ensure a fit between your target group and a specific media channel.



Selection of specific media channels (intramedia selection)

Target group's weighted CPT value

$$\text{Weighting factor} = \frac{1}{\text{share of customers that belong to a target group}}$$

Example:

Based on surveys, a company knows that 50% of all readers of *Stern* and 70% of all readers of *Der Spiegel* readers belong to a specific manufacturer's target group.

$$\text{CPT}_{\text{weighted}} = \text{weighting factor} * \text{CPT}$$

$$\begin{aligned} \text{CPT}_{\text{Stern}} &= \frac{1}{0.5} * 6.83 \text{ (unweighted CPT)} \\ &= €13.66 / 1,000 \text{ readers} \end{aligned}$$

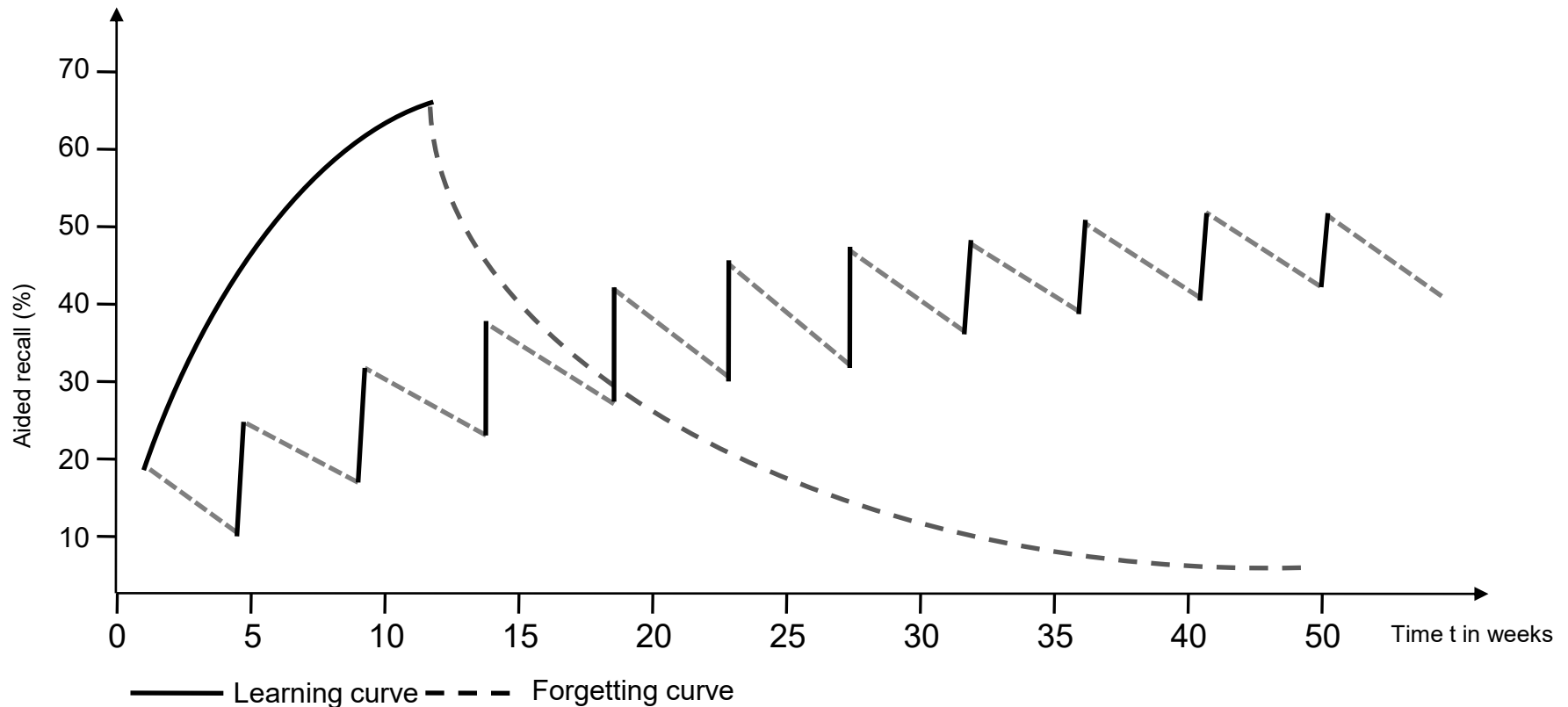
$$\begin{aligned} \text{CPT}_{\text{Spiegel}} &= \frac{1}{0.7} * 8.89 \text{ (unweighted CPT)} \\ &= €12.7 / 1,000 \text{ readers} \end{aligned}$$

Decision rule

Develop a media ranking based on weighted CPT values.

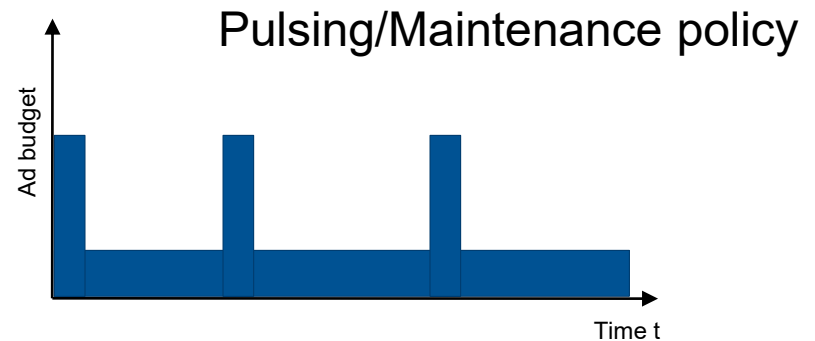
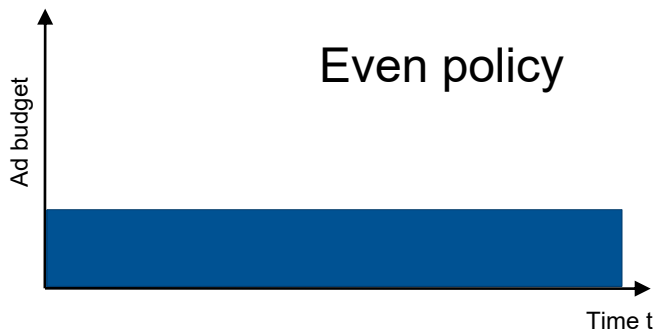
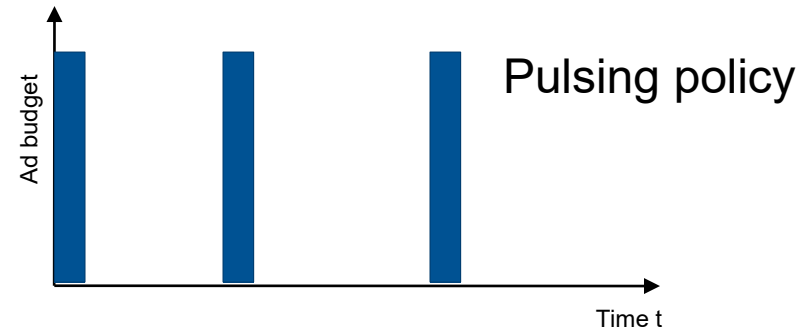
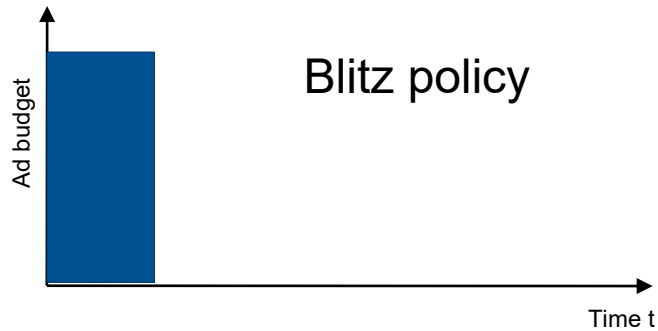
Select the medium with the lowest CPT value (here, Der Spiegel).

Advertising timing and frequency



Zielske, 1959, p. 240; Meffert, Burmann, and Kirchgeorg, 2008, p. 697.

Advertising timing and frequency



Research on AI advertising

Table 1
Research in AI advertising.

Article	Context	Focus of Research	Key Insights/Findings
Neumann et al. (2019)	Uses	Third-party profiling and advertisement targeting	Empirically assesses the accuracy of the digital profiles and the performance of the overall audience delivery process.
Wu et al. (2021)	Functions	AI created advertisement	Examines the factors that influence the consumer's appreciation of AI-generated advertisements
Campbell et al. (2021)	Functions	Generative Adversarial Networks (GANs)	Proposes a general framework to understand better how consumers respond to all forms of ad manipulation
Kietzmann et al. (2021)	Features	Deepfakes	Explains deepfakes and how they influence advertisement practice
Lee and Cho (2019)	Features	Data-driven marketing communication, AI for advertisement production, and big data for ad execution	Defines digital advertising, critical trends related to AI, algorithms, and big data and provides propositions for the future of digital advertising
Van den Broeck et al. (2019)	Features	Chatbot advertising	Examines the effectiveness of chatbot advertising using the Technology Acceptance Model and Consumer Acceptance of the Technology Model
Smith (2020)	Features	Smart speakers	Determines what type of marketing messages people find acceptable on smart speakers
Palos-Sanchez et al. (2019)	Challenges	Privacy concerns due to programmatic advertising	Explains how programmatic advertising effectiveness influences users' privacy concerns and how it changes over time
Watts and Adriano (2021)	Challenges	Machine Learning Biases in advertisement placement	Uncovers machine learning biases in ad placements, deconstructing the nature of these biases and proposing context-specific databases to prevent them.

Ford et al. (2023)

Future research on AI and advertising

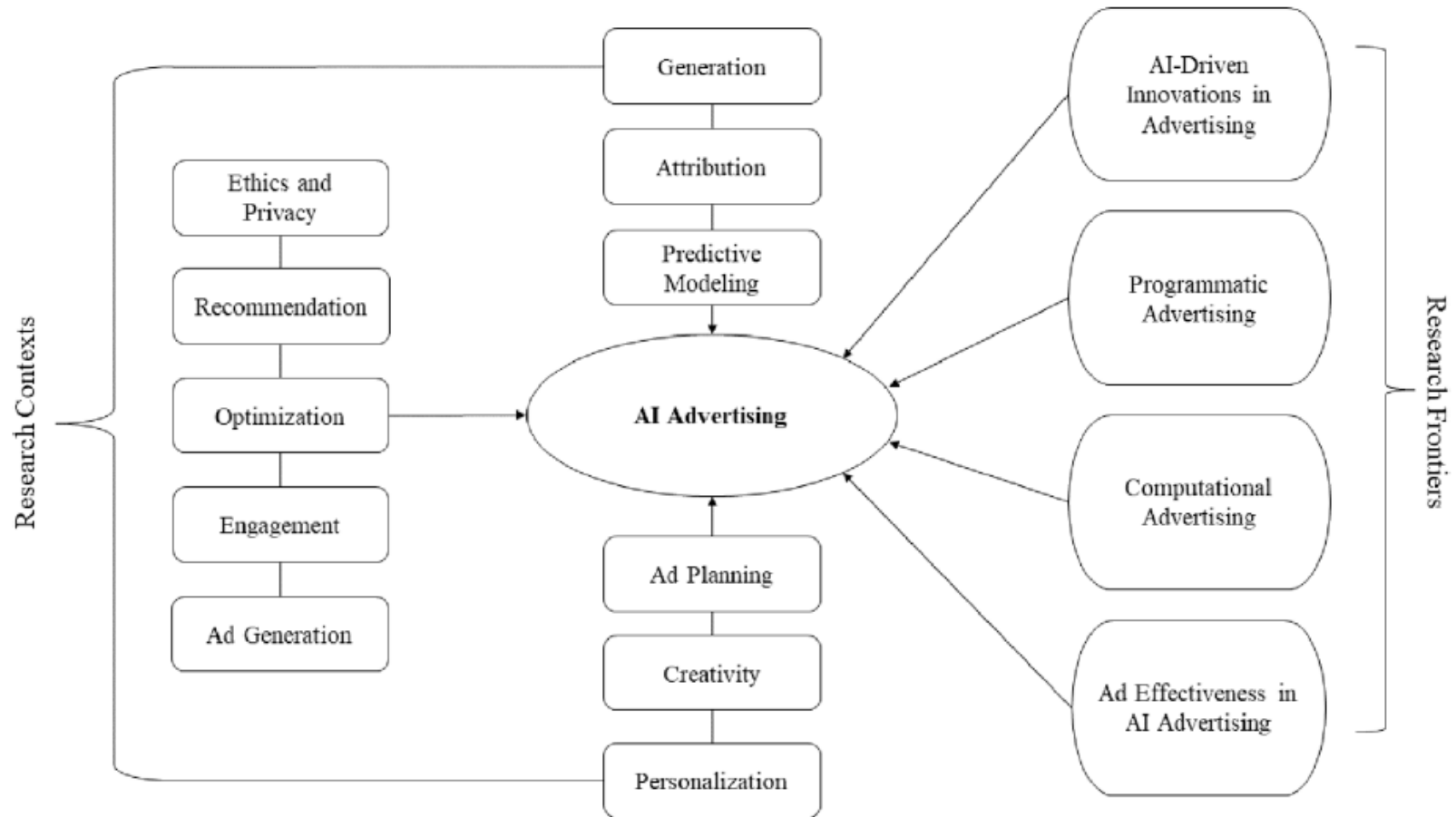


Fig. 4. Research contexts and themes in AI advertising.

Ford et al. (2023)

Future research on AI and advertising

Table 7
Future research directions and guidelines.

Area	Sub-area	Research questions	Guidelines
AI-driven innovations in advertising	AI advertising integration, evaluation, and measurement	1. How can novel AI advertising applications be integrated with existing marketing systems? 2. How to evaluate and measure the performance of AI-generated and delivered content? 3. How can AI be used in voice-activated advertising and optimize these campaigns?	1. Advertisers must regularly experiment with novel AI advertising innovations and incorporate them for more effective marketing campaigns. 2. Advertisers must be committed to preventing ethical concerns related to data quality and security in their AI advertising strategies.
Computational advertising	Personalization, privacy, creativity, and blockchain	1. How to balance personalization and privacy concerns to enhance user experience in advertising? 2. How to integrate blockchain in computational advertising to improve transparency and accountability of advertising campaigns and prevent ad fraud? 3. How to create programmatic creative that resonates with users at an emotional level?	1. Embrace computational advertising in their strategies to increase effectiveness and returns on investment. 2. Regularly monitor and update algorithms to keep them effective and prevent ethical concerns such as algorithm bias. 3. Enhance programmatic creativity by using AI to generate ad copies and creative to capture consumers' attention.
Programmatic advertising (PA)	Programmatic Creatives and Legal and ethical concerns of PA	1. How can congruency of programmatic creative with brands' IMC goals be ensured? 2. How to ascertain hyper-personalized data's legal and ethical utilization? 3. How to measure profitability and privacy concerns of consumers for programmatic advertising	1. Employ PA in advertising functions for more effective ad delivery and multi-channel marketing 2. Regularly evaluate the ad performance and assess PA platform affordances to choose the best. 3. Test and experiment with different bidding strategies and creatives for optimization, as there is no one-size-fits-all approach.
Ad effectiveness of AI advertising	AI-generated advertisements and consumer appreciation	1. How to increase the effectiveness of AI-generated copies? 2. How to enhance the appeal and increase consumer appreciation for AI advertising 3. How to decrease the perceived intrusiveness of AI advertising to increase its perceived usefulness and helpfulness?	1. AI Advertising creates more effective and engaging ads but may produce intrusive and manipulative content. Advertisers must regularly monitor and take steps to mitigate this to maintain advertising effectiveness. 2. Advertisers must embrace AI as a tool for increased capabilities and not replace human expertise. Human creativity is crucial to maintain the effectiveness of ad campaigns.

Ford et al. (2023)

Future research on AI and advertising

Innovativeness and service adoption among vulnerable	Effect of Age on consumer innovativeness and advertisement effectiveness	1. How do these generations perceive AI-generated and delivered advertisements? 2. How can adopting AI advertisements be increased among vulnerable consumer groups by optimizing automated ad creation and delivery?	1. Advertisers must pay attention to potential biases in AI-generated ads that may trigger vulnerabilities. 2. Firms must identify vulnerable consumer segments among their consumers and understand their unique needs and concerns.
	Privacy concerns	1. How does privacy concern affect the programmatic advertising effectiveness? 2. How can advertisers acknowledge and address privacy and data security concerns of highly personalized advertisements	1. Be more transparent about how AI is used in advertising and avoid bias and privacy violations. 2. Invest in user education by providing information and FAQs about how their data is used and personalization's benefits.
	Manipulated advertisements	1. Which factors are essential to detect manipulated advertisements? 2. What role should regulators play in protecting consumers from persuasive, manipulated advertisements?	1. Develop robust verification systems to identify and flag manipulated AI-generated advertisements. 2. Provide accessible channels to users for reporting any suspected manipulation.
	Algorithm discrimination and bias	1. How can algorithm bias be removed while delivering advertisements to diverse consumer profiles? 2. What are the different interpretations of intersectionality and power relations in the AI discourses?	1. Train AI with diverse and representative datasets to minimize the risk of bias. 2. Develop rigorous monitoring protocols and mitigation steps in case of discrimination by AI.
Methodology	Employing mixed methodology	1. How to study more extensive uses of AI Advertising using mixed methodology?	
Theories	Development of new theories	1. Which constructs from varied disciplines can be borrowed to study AI Advertising? 2. What theories can be used to build a new theory of AI Advertising?	

Ford et al. (2023)

Measuring communication effects

Measuring advertisement success

- Advertisement success prognosis → Pre-test
- Advertisement success control → Post-test

Communication effects and their operationalization

- Attention effects: stopping power, holding power, sending power
- Memory effects: recognition, supported and unsupported recall
- Evaluation effects: development or change of preferences, behavioral effects etc.

Stages of effectiveness

- Information effects
- Motivation effects
- Behavioral effects

Measuring communication effects

Instruments/methods

- Using an apparatus
 - E.g., eye-tracking, skin-conductance
 - Medical imaging, e.g., computer tomography or magnetic resonance imaging
- Observations
- Surveys
 - Memory effects
 - Frequency of contact
 - Recall of specific content
 - Attitude (changes) towards the product
 - Information, purchase, and use
 - WoM behavior

Traditional word-of-mouth (WOM)



Traditional word-of-mouth (WOM)

Arndt (1967a, p. 3) defines WOM as: “Oral, person-to-person communication between a receiver and a communicator whom the receiver perceives as non-commercial, concerning a brand, a product or a service”

Three important elements (Nyilasy 2005):

1. WOM is **interpersonal communication**. It distinguishes WOM from mass communication such as advertising and other impersonal channels.
2. The **content of these communications should be commercial**. While in everyday language individuals can use WOM for any kind of interpersonal communication, WOM in marketing refers to the message about commercial entities, products, product categories, and brands.
3. Communicators are **not motivated commercially** or at least this is the receiver's perception. It is enough that the communicator is perceived to be unbiased.

WOM characteristics

- **Valence:** WOM communications can be negative or positive in their valence (Buttle 1998, Richins 1984)
- **Intervention:** WOM communications can be spontaneously generated and/or stimulated by companies
- **Timing:** WOM communications can be used (input) and spread (output) by customers before, after or during a purchase
- **Solicitation:** WOM communications can be solicited (e.g., by asking opinion leaders) or unsolicited



When Domino's Pizza introduced its "half an hour or it's free" advertising, lots of people were intrigued. They tested the claim made by the company and after spread the word (Haywood 1989).

Measuring WOM with the Net Promoter Score

“How likely are you to recommend our company/product/service to a friend or colleague?”



The Power of WOM

- Personal conversations and information exchange between people affect consumer behavior (Wang et al. 2014)
- One of the main features of WOM is the independence of the source of information—the source does **not have any commercial interest** in sharing of WOM (Anderson 1998; Arndt 1967b; Harrison-Walker 2001)
- Consumers consider WOM **more credible and reliable** than information generated by firms (Herr et al. 1991; Lopez and Sicilia 2014; Miquel-Romero and Adame-Sánchez 2013; Wu and Wang 2011)
- WOM affects consumers' decisions **more than market-created sources** of information such as advertising, newspapers, and sales staff (Buttle 1998; Day 1971; Godes and Mayzlin 2004; Herr et al. 1991)

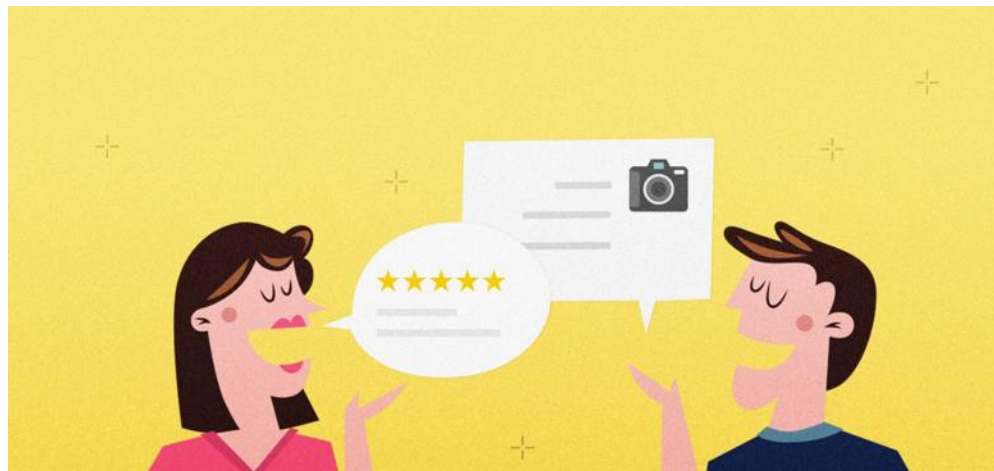
The Power of WOM

- "Researchers find that positive WOM has a significant influence on consumer decision-making" (Richins 1983)
- **Negative WOM can be even more influential than positive WOM** (Bolfing 1989; Tybout et al. 1981)
- The effect results because **dissatisfied customers tell more people about their dissatisfaction experience than satisfied customers** (Arndt 1967b)



Definition of electronic WOM (eWOM)

- “eWOM is the dynamic and ongoing information **exchange process** between potential, actual, or former consumers regarding a **product, service, brand, or company**, which is available to a multitude of people and institutions via the Internet.” (Ismagilova et al. 2016)
- “Any positive or negative statement made by **potential, actual, or former customers** about a product or company, which is made available to a multitude of people and institutions via the Internet.” (Hennig-Thurau et al. 2004)



eWOM examples

Video: Keeping fortnite fresh



eWOM characteristics (compared to WOM)

Characteristic	References	Key findings
Size of the network	Avery et al. (1999), Brown and Reingen (1987), Chen and Xie (2008), Chen et al. (2011), Dellarocas et al. (2010), Dellarocas (2003), Li and Hitt (2008), Shi (2003), Steffes and Burgee (2009)	In traditional WOM communication, information is shared between small groups of individuals and societies while the impact of eWOM can reach further than local community, because consumers all over the world can have access to it via the Internet.
Tie strength	King et al. (2014)	While traditional WOM happens between relatives, friends, and acquaintances (strong ties), most of eWOM occurs between strangers (weak ties).
Speed of diffusion	Avery et al. (1999), Cheung and Thadani (2010), Dellarocas (2003), Hung and Li (2007), Li and Hitt (2008), Steffes and Burgee (2009)	In traditional WOM, people share information amongst small groups of individuals in synchronous mode. eWOM involves multiway information sharing in asynchronous mode, which results in high speed of diffusion.
Volume	Chatterjee (2001), Pan and Zhang (2011), Sen (2008)	eWOM available online is more voluminous in quantity compared to traditional WOM.
Context	King et al. (2014)	Traditional WOM communications usually happen in a face-to-face context, while eWOM takes place in a more complex computer-mediated environment.
Anonymity	Pan and Zhang (2011), Trenz and Berger (2013)	While in traditional WOM reviewer is known, in eWOM reviewer is mostly anonymous.
Privacy	Kozinets et al. (2010), King et al. (2014)	In traditional WOM, conversations are mostly private in nature, while in eWOM they are more visible.
Persistence and accessibility	Hennig-Thurau et al. (2004), Herr et al. (1991), Hung and Li (2007), Lee et al. (2008)	eWOM communications are more persistent and accessible for an indefinite period of time.
Measurability	Cheung and Thadani (2010), Lee et al. (2008), Park and Kim (2008)	eWOM communications are easier to measure compared to traditional WOM.

Challenges for consumers

- It is difficult for consumers to **form impressions of eWOM senders** and their characteristics.
- In traditional WOM, consumers are faced with cues that facilitate interpretation, e.g., familiarity with the source of information and source's facial expression.
- eWOM communications do not have any standardized format: Situational perceptions, simple recommendations, detailed evaluations (Lee and Youn 2009; Metzger 2007)



Opportunities for consumers

- Consumers can retrieve information about products and services from **vast, geographically dispersed groups of people** (Jalilvand et al. 2011)
- eWOM is an alternative source for consumers to receive information about products and services based on buyers' considerations, **reducing the influence from companies in comparison with traditional marketing and advertising** (Jalilvand et al. 2011; Varadarajan and Yadav 2002)



Challenges for companys: Brand building

- By using eWOM, **bad news can spread quickly** and as a result can harm the business (Dellarocas, 2003)
- An example of how negative eWOM can spread fast and impact the reputation of a business is the case of “Dell Hell”:

Jeff Jarvis' Post



Opportunities for companys: Product development and quality control

- eWOM can help a company to **understand consumers' reactions** to its products and services in a better way

★★★★★ Glad I Lived Long Enough...

By [S. Roarty](#) on July 12, 2017

Color: Black | Configuration: Echo Dot | **Verified Purchase**

Technology is amazing. This little gadget is amazing. I ordered it on Prime Day and got it the next day. Connected right up to my phone app and started playing whatever music I told it to right off. Even told me how to connect it to my Fitbit app. I am in love with a talking hockey puck!

Update: There is one thing about the echo that I am not happy about. I can listen to music from most artists but often if I ask Alexa to play a certain song, she tells me I have to purchase Unlimited. But I can still hear the song if I simply request a playlist by the artist and skip through it. It's a roundabout way to hear a song but I think already paying for Prime should be cost enough.

- However, eWOM communications can **reveal information to companies' competitors** and spread information about product and service flaws (Dellarocas 2003)

★☆☆☆☆ Beware Sonos Owners

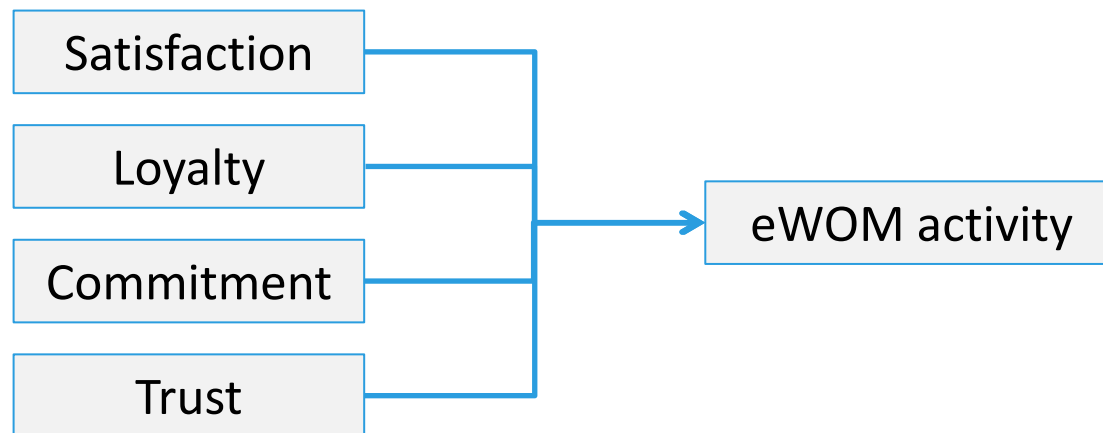
By [Joe R](#) on November 16, 2017

Color: Black | Configuration: Echo Dot | **Verified Purchase**

Do not buy this if you want to control Sonos. It will pair but want turn on a multi room system. It will turn on the surround sound system but when playing your music it has hard time adjusting the sound.

Antecedents

- eWOM is a consumption experience shared by customers who purchase the product, experience the service, or interact with the brand
- Some customers decide to share their consumption experience with their friends while others do not
- What are the main antecedents that are influencing people's eWOM sharing intention?



Antecedents

Satisfaction

- Customers will be motivated to share positive experiences with others if the product or service performance exceeds expectations (Confirmation/Disconfirmation Theory)
- They might also share negative experiences with others if they are dissatisfied

Loyalty

- Studies confirm that loyal customers provide more eWOM (Lee and Jaafar 2011; Sichtmann 2007; Walsh and Beatty 2007)
- In a disloyalty situation, e.g., when customers switch providers, they are also likely to spread negative WOM about the provider in order to reduce their cognitive dissonance (Wangenheim 2005)

Antecedents

Trust

- Several studies find a positive impact of trust on eWOM (De Matos and Rossi 2008; Sichtmann 2007; Tsao and Hsieh 2012)

Commitment

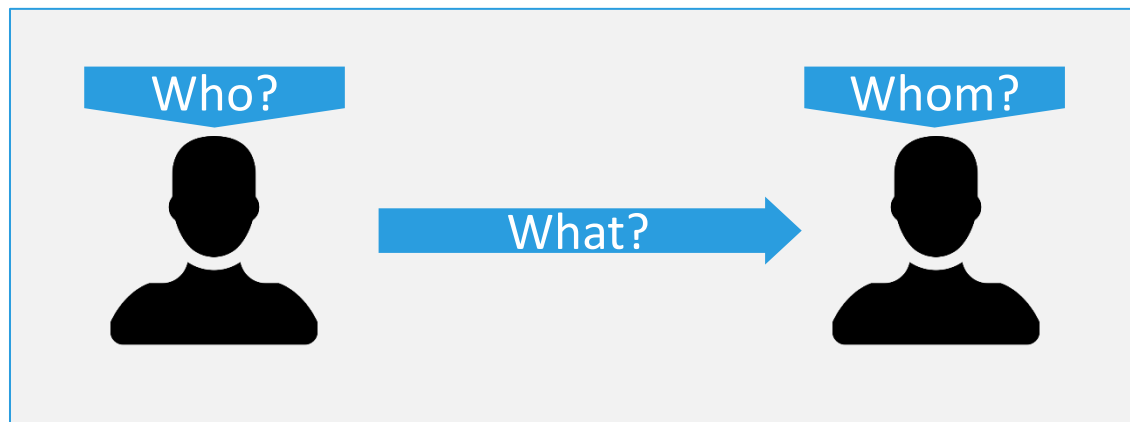
- Consumer commitment has an impact on providing eWOM (De Matos and Rossi 2008; Lis and Horst 2013; Tsao and Hsieh 2012)
- Customers provide eWOM to reconfirm their decision to enter the relationship with a brand or company
- Even when experiencing lower levels of satisfaction, these customers are likely to endorse the company in order to keep cognitive consistency and justify their favorable attitude and strong identification with the company (Brown et al. 2005)

Brainstorming: Which factors influence the persuasiveness of eWOM?



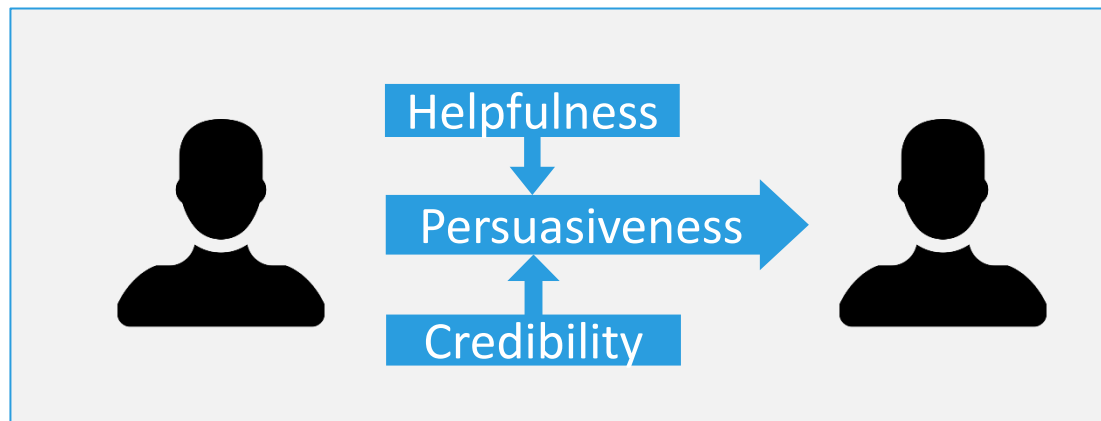
Yale attitude change approach

- **Question:** Under which circumstances will people most likely change their attitudes in response to persuasive messages?
- The basic model of this approach can be described as **"who said what to whom"**:
 - the **source** of the communication
 - the **communication** itself
 - the **audience** of the communication



Credibility and helpfulness

- Two main aspects of persuasiveness of eWOM communication: **credibility** and **helpfulness** (Cheung and Thadani 2012; Lis 2013; Kim and Gupta 2012; Yin et al. 2014)
- eWOM **credibility** is the degree to which an individual perceives the recommendation from others as believable, true, or factual (Cheng and Zhou 2010)
- eWOM **helpfulness** (or **usefulness**) is defined as the degree to which the information assists consumers in making their purchase decisions (Davis 1989)



Credibility

Expertise:

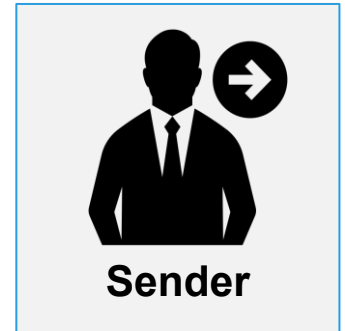
- People who have higher perceived expertise (+)
(Cheng and Zhou 2010; Dacin 1996)

Reputation of Service:

- When consumers think that a website has a high reputation, they will perceive eWOM on this website as being more credible (+)

Perceived social relationships:

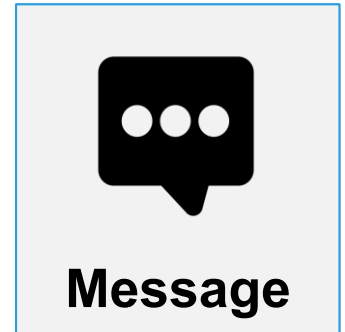
- Receivers consider information more credible when it comes from a source consistent with their own values, interests, and mindset (i.e. homophily) (+) (Fan and Sun 2012)



Credibility

Content:

- Argument quality (+)
- Ratio between positive and negative reviews (+)
- Reviews containing both positive and negative information (+)



Volume:

- High volume of eWOM positively influences credibility, but can result in information overload (Furner and Zinko 2016; Park et al. 2007; Sher and Lee 2009; Singh et al. 2016)

Credibility

Willingness to trust:

- Some receivers will consider the same message as more credible while others perceive it as less credible depending on their propensity to trust (Cheng and Zhou 2010)



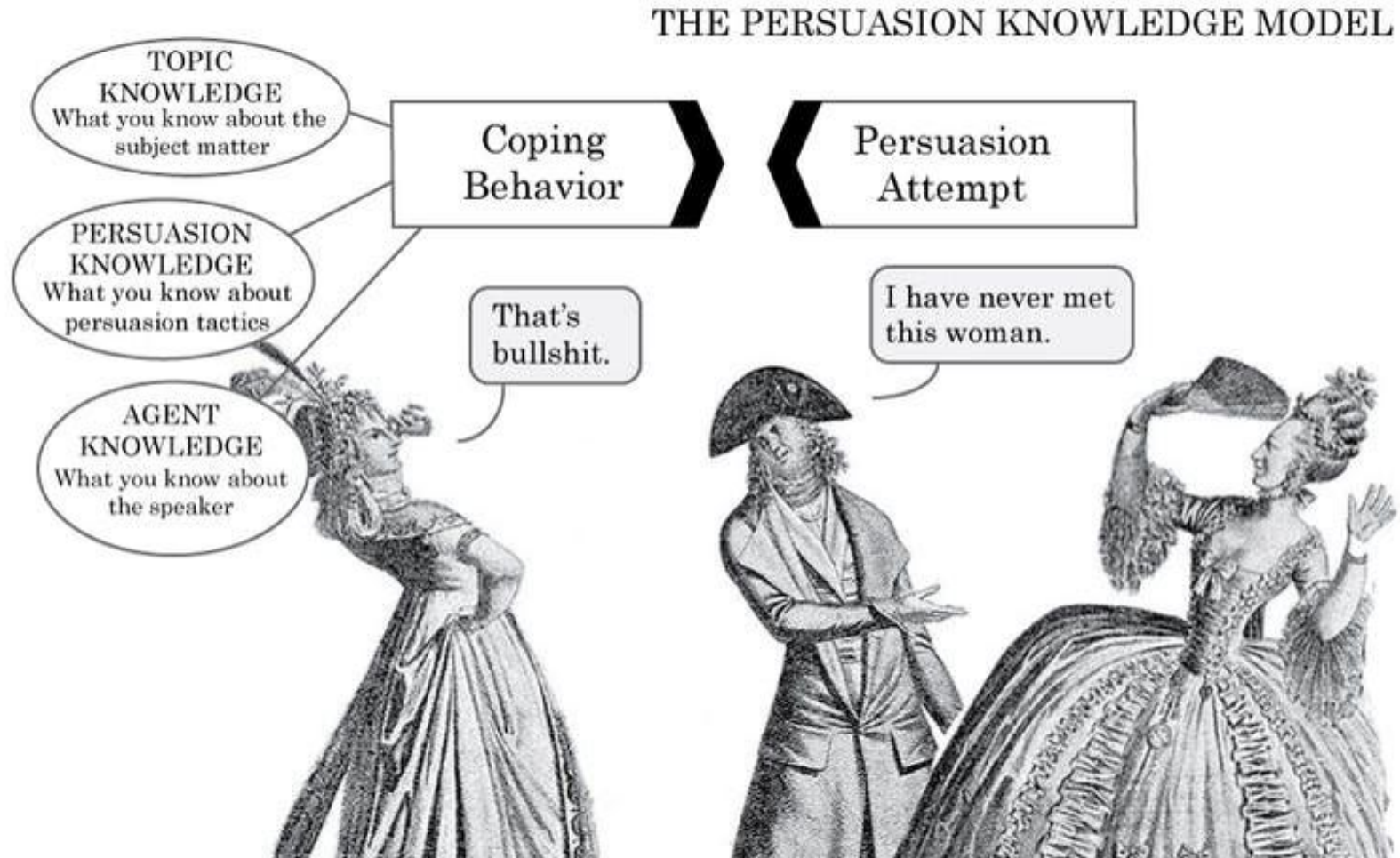
Confirmation with prior beliefs:

- When consumers perceive a message to be consistent with their prior knowledge/expectations about a product/service, they have more confidence in the information (+) (Cheung et al. 2009)

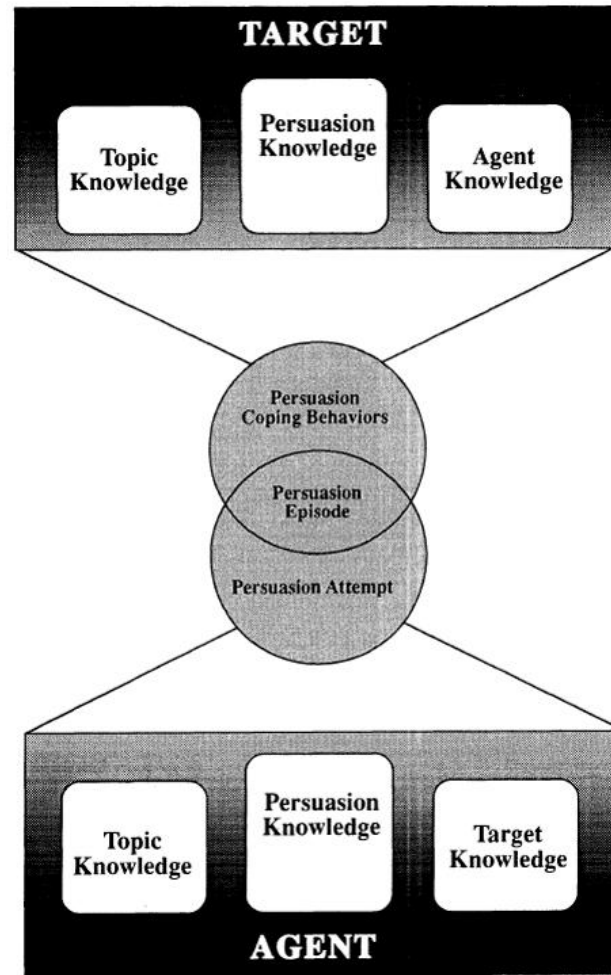
Influencer Marketing – An example



An example



Persuasion Knowledge Model (PKM)



Persuasion knowledge model (PKM)

- Over time consumers develop personal knowledge about the **tactics used in persuasion attempts**.
- This knowledge helps them identify **how, when, and why marketers try to influence them**. It also helps them adaptively respond to these persuasion attempts so as to achieve their own goals.
- The PKM is a model of how people's persuasion knowledge influences their responses to persuasion attempts.

All slides in the theoretical background section are based on:

Friestad, M., & Wright, P. (1994). The persuasion knowledge model: How people cope with persuasion attempts. Journal of Consumer Research, 21(1), 1-31.

Development of persuasion knowledge

- Within individuals, persuasion knowledge continues developing throughout the life span.
- People learn about persuasion in many ways:
 - from firsthand experiences in social interactions with friends, family, and co-workers
 - from conversations about how people's thoughts, feelings, and behaviors can be influenced
 - from observing marketers and other known persuasion agents
 - from commentary on advertising and marketing tactics in the news media

Development of persuasion knowledge

- A complete theory of persuasion must explain how people develop persuasion knowledge, how persuasion knowledge is used in various types of persuasion episodes, and how changes in that knowledge alter what occurs.



Influencer marketing

Definition Influencer:

“Influencers’ are ordinary individuals, not celebrities, who have amassed large numbers of followers on social media sites by posting visually attractive content that showcases their lifestyle and merchandise preferences” (Argyris et al. 2020; Cotter 2019).

Definition Influencer Marketing:

The act of a marketer or communicator engaging with key influencers to act upon influences in pursuit of a business objective. (WOMMA 2013, p.6)

- Form of Native Advertising (Boerman 2020)
- Instrument to reach Millennials (Brix 2017)

An example

Topic
knowledge?

Agent
knowledge?

Persuasion
knowledge?



Persuasion Knowledge Model (PKM)

- **"targets"** refers to those people for whom a persuasion attempt is intended (e.g., consumers, voters)
- **"agent"** refers to whomever a target identifies as being responsible for designing and constructing a persuasion attempt (e.g., the company responsible for an advertising campaign; an individual salesperson)
- **persuasion "attempt"** (rather than ad, sales presentation, or message) to describe a target's perception of an agent's strategic behavior in presenting information designed to influence someone's beliefs, attitudes, decisions, or action
- The directly observable part of an agent's behavior is defined as **persuasion episode**

Persuasion Knowledge Model (PKM)

- To capture what targets try to do in response to a persuasion attempt, the authors use the term **"cope"**.
- The term "cope" is **neutral** with respect to the direction of targets' responses. In particular, the authors do not assume that people invariably or even typically use their persuasion knowledge to **resist** a persuasion attempt.
- To a target, "persuasion coping behavior" encompasses not only their **cognitive and physical actions during any one persuasion episode**, but also any thinking they do about an agent's persuasion behavior in anticipation of a persuasion attempt, as well as between and after episodes in a campaign.

Fundamental assumptions about the use of persuasion knowledge

- Consumers' persuasion-coping knowledge enables them to **recognize, analyze, interpret, evaluate, and remember persuasion attempts** and to **select and execute coping tactics** believed to be effective and appropriate.
- Persuasion knowledge performs schema-like functions, such as **guiding consumers' attention** to aspects of an advertising campaign or sales presentation.
- In everyday life, people often **move rapidly and fluently between the roles of target and agent**. There is presumably a fairly close connection, therefore, between people's coping knowledge and what they know that helps them plan, construct, and execute their own influence attempts.

Fundamental assumptions about the use of persuasion knowledge

Relevance for marketing:

For consumers persuasion knowledge is a necessary resource in virtually all interactions with marketers. Consequently, the authors assume that **people access persuasion knowledge**, at least partially, whenever they want to understand what is going on as they observe advertisements, sales presentations, or the behaviors of service providers.



Factors affecting the motivation to hold valid agent attitudes

Consumers are more likely to pursue the goal of holding valid agent attitudes when

- the **marketer is unfamiliar** to them and the current persuasion attempt represents a "get-acquainted" opportunity
- their existing attitude toward the marketer is based on persuasion behaviors observed **in a different context** than the current one (e.g., a company enters a new product category)
- a consumer perceives a familiar marketer to be using some **distinctly different persuasion tactic(s)** than had been used in previous encounters

Evaluations of agents' persuasion behaviors

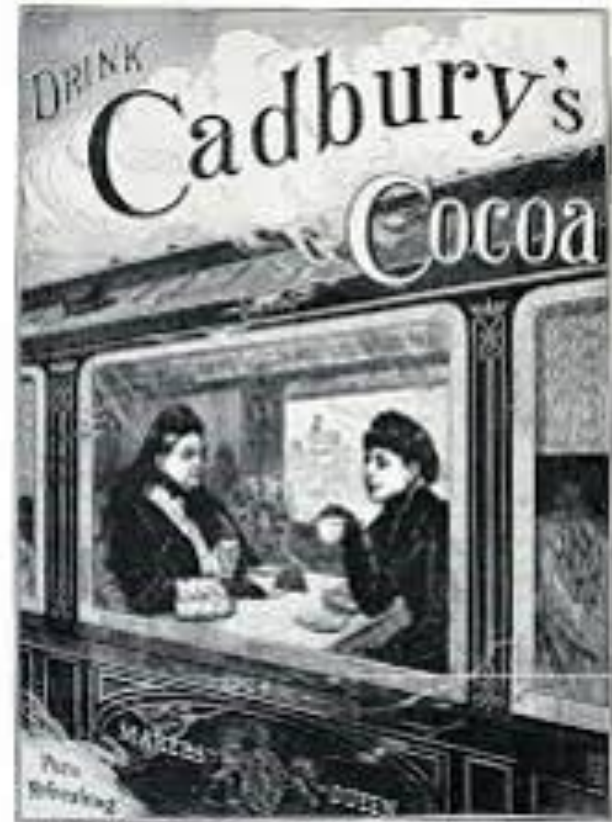
Consumers use persuasion knowledge to assess the marketer's overall persuasion competence. Two dimensions are evaluated:

1. **Perceived effectiveness** of the persuasion tactics

→ Are marketer's actions **likely to produce psychological effects** that strongly affect buying decisions?

2. **Perceived appropriateness** of the persuasion tactics

→ Are marketer's tactics **moral or normatively acceptable** (i.e., within the boundaries of the "rules of the game").



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